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China Equity Strategy Mid-year Outlook | Asia Pacific

Forging New Horizons

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We see moderate upside by 2Q27 on improved earnings, growing dominance in global upstream supply chains, and a stronger USDCNY. The US-China summit could trigger moderate index upside if the truce extends. We prefer A over offshore and recommend thematic stock picking vs. passive index investing.

YTD – a thematic growth market masked by index compilation rules: Upstream focused sectors (Energy, Materials, and high-end manufacturing concentrated industrials) and technology localization (Semi, Healthcare) have delivered 2-30% YTD absolute returns vs. the index. However, MSCI China index's performance has been significantly hindered by an index composition overly skewed towards large-cap platform companies (45% of index weight) while heavily discounting A-share listings due to the existing inclusion rule (<20% for the aforementioned outperforming sectors combined, most of which are listed in the A-share market).

We see the earnings outlook improving moderately: 1) stronger export growth amid accelerating AI/Energy capex cycle; 2) CNY appreciation vs. USD; 3) earnings damage peaking from large-cap platform companies' intense price competition, with strict government regulation having started in April. Valuation could also see a marginal re-rating as earnings growth improves, the US/China truce extends, and Chinese companies gain more dominance in global high-end supply chains.

Our new 2Q2027 price targets are 28,400 for Hang Seng, 91 for MSCI China, 9,900 for HSCEI and 5,400 for CSI300, implying upsides of 8%, 12%, 11% and 11%, respectively. Near-term volatility swings could still happen given: 1) another quarter of misses in 1Q; 2) sizeable HK IPO share unlocking in July; 3) liquidity uncertainty if Fed rate cut prospects disappear and/or turn into hikes; 4) global growth risk amid lofty energy prices. As a result, we expect market dynamics to turn clearer and smoother more likely around/after summer.

We continue to prefer A-share market over offshore given: 1) higher concentration of high-end upstream manufacturing and hard-core tech companies; 2) highly anticipated potential A-share IPOs to trigger greater domestic investor participation; and 3) National Team standing by.

Sector preference: We strongly prefer upstream asset-focused sectors that are less disruptable by the AI supercycle, compounded by their growing global market share against a backdrop of energy efficiency re-prioritization – selected Materials, Industrials, and Energy. We also like the tech localization theme (semis) and maintain moderate exposure to Financials (Insurance and Exchanges), as well as yield plays. We stay OW on Real Estate and Consumer Staples.

Key trades recommended: 1) A-shares > offshore; 2) China Best Business Model stocks; 3) Upstream global energy sufficiency supplier champions; 4) Event-driven tactical trade of Stock Connect Southbound inclusion/deletion.

Exhibit 1 : 2Q 2027 bull/base/bear index targets for Morgan Stanley China coverage equity indices: 8-12% upside implied for Chinese equity indices

	Index	Current Price	MS Target Price (June - 27)	MS Top-Down EPS Dec-26	MS Top-Down EPS Dec-27	IBES Consensus EPS Dec-26	IBES Consensus EPS Dec-27	MS Target Fwd P/E Jun-27	Consensus 12m Fwd P/E Spot
Base Case	Hang Seng	26,394	28,400 8%	*2,254* *7%*	*2,408* *7%*	2,270 *12%*	2,499 *10%*	11.4x	11.3x
	HSCEI	8,889	9,900 11%	*939* *5%*	*993* *6%*	904 *7%*	961 *6%*	9.7x	10.1x
	MSCI China	81	91 12%	6.6 *7%*	7.2 *10%*	6.5 *14%*	7.5 *15%*	12.2x	11.9x
	CSI300	4,872	5,400 11%	*315* *10%*	*347* *10%*	341 *12%*	378 *11%*	14.8x	14.6x
Bull Case	Hang Seng	26,394	32,400 23%	2,299 *8%*	2,504 *9%*	2270 *12%*	2499 *10%*	12.5x	11.3x
	HSCEI	8,889	11,000 24%	958 *6%*	1013 *6%*	904 *7%*	961 *6%*	10.6x	10.1x
	MSCI China	81	103 27%	6.7 *8%*	7.4 *11%*	6.5 *14%*	7.5 *15%*	13.3x	11.9x
	CSI300	4,872	6,090 25%	321 *11%*	361 *12%*	341 *12%*	378 *11%*	16.0x	14.6x
Bear Case	HSCEI	8,889	6,200 -30%	892 *3%*	923 *4%*	904 *7%*	961 *6%*	6.7x	10.1x
	MSCI China	81	60 -26%	6.1 *3%*	6.4 *5%*	6.5 *14%*	7.5 *15%*	9.1x	11.9x
	CSI300	4,872	3,550 -27%	304 *7%*	319 *5%*	341 *12%*	378 *11%*	10.9x	14.6x

Source:MSCI, IBES, Bloomberg, FactSet, RIMES, Morgan Stanley Research estimates. Data as of May 8, 2026.

2026 China mid-year outlook – Forging New Horizons

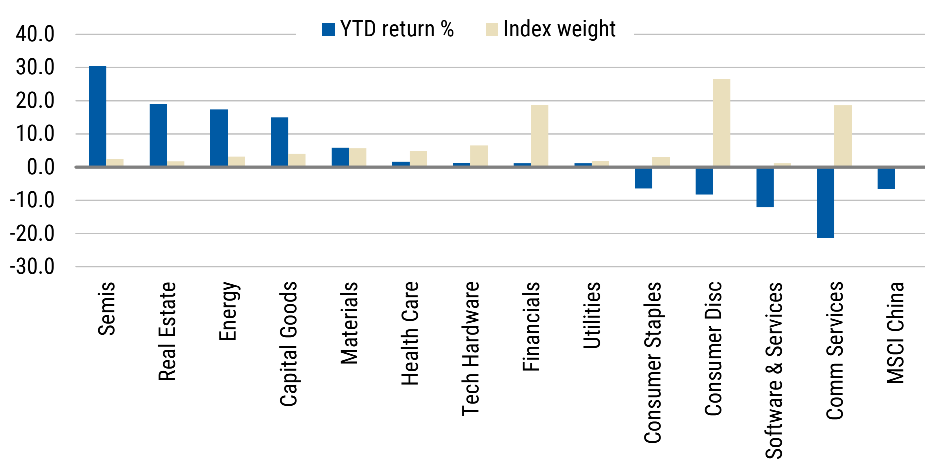
A thematic growth market YTD masked by index compilation rules

Upstream focused sectors (Energy, Materials, and high-end manufacturing concentrated industrials) and technology localization (Semi, Healthcare) have registered 2-30% YTD absolute returns (Exhibit 2) as well as broadly better earnings estimate revisions vs. the index. However, MSCI China index's performance has been dragged down by an index composition overly skewed towards large-cap platform companies (45% of index weight) while heavily discounting A-share listings (20% for the aforementioned outperforming sectors combined, most of which are listed in the A-share market).

We argue that such skewed index weight representation does not truly reflect China's equity market reality, as the index compilation rules amplify the AI disruption challenges while suppressing the outperforming sectors. Outperforming sectors are under-represented right now given two main reasons:

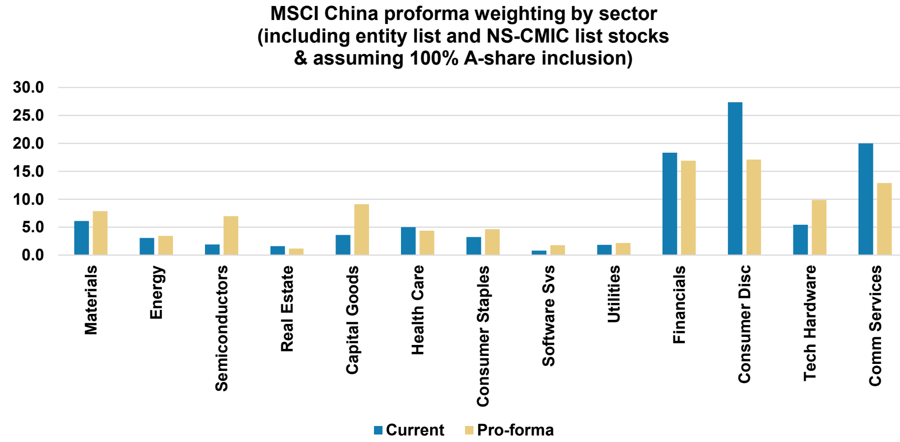
- Severe discount factor (20%) for the A-share component index weight in MSCI indices: the outperforming sectors are more concentrated in the A-share market, with only 20% of their qualified A-share market caps counted for index weight calculation. This artificially suppresses A-share stocks' total representation in MSCI China and other indices.
- Disappearance from the index of stocks on the NS-CMIC list published by the US government. Some of the better-performing industries/sectors such as Industrials/ Capital Goods, Semis and Energy as well as Materials are the most heavily affected, and thus are under-represented in the MSCI China index and other global indices.

Exhibit 2: MSCI China performance vs. weight - Internet (Consumer Disc + Communication Services) has been the largest drag on index performance



Source: FactSet, Morgan Stanley Research. Data as of May 8, 2026.

Exhibit 3: MSCI China's pro forma index weight by sector – Capital Goods, Semis, Materials, Tech Hardware and Energy would see the biggest rise in weighting



Source: US government websites, Factset, Morgan Stanley Research.

Exhibit 3 shows that the outperforming sectors collectively would gain 13ppt in index weight while e-commerce will lose 17ppt within MSCI China, based on our calculation of pro forma index weight for MSCI China by adding back the entity list and MS-CMIC list stocks, and assuming 100% inclusion factors for qualified A-share index constituents. As a result the overall China equity space performance should be meaningfully better than shown by the current index. We also believe that focusing on these structural thematic investment opportunities would help generate better returns vs. passively investing at the index level.

Earnings outlook modestly improving, thanks to three key reasons

Looking into the next 6-12 months, we see a marginally better earnings growth outlook…

…and believe that the momentum in earnings estimate cuts could start to decelerate from 2H: Three key developments are the key driving force behind it:

1. Stronger export growth and near-term reflation signs;
2. Stronger-than-expected CNY against USD; and most importantly
3. Earnings damage peaking from large-cap platform companies' intense price competition, with strict enforcement of government regulation having started in April.

However, we remind investors that, as we go through 1Q results season, we may experience another round of reductions before things start to lighten up with 2Q results from July: This is because the biggest earnings growth driver at the sector level for MSCI China remains the Internet platform companies. Implementation of anti-involution price war regulation has only been strictly enforced since April, suggesting that recovery of earnings damage will only start to show up in 2Q results.

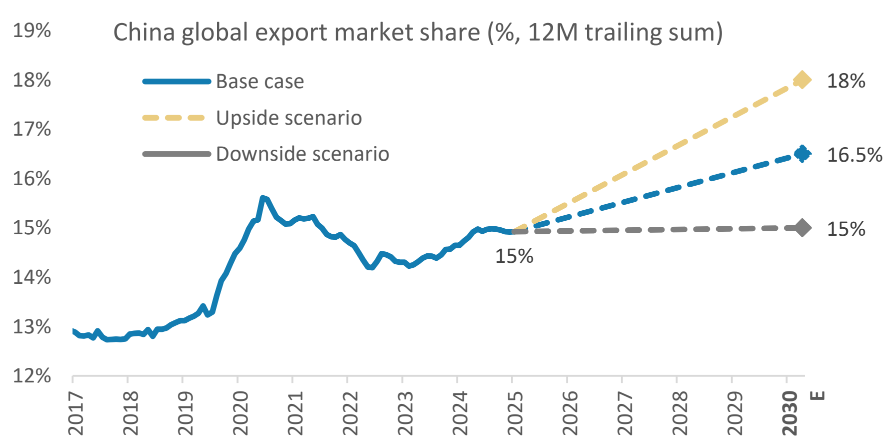
Geopolitical developments enhancing China's positioning

2025 was an inflection point for US-China relations as the two countries agreed to a 'truce', with each party holding an effective card against the other – for the US, tech restrictions against China; for China, the rare earth card.

We expect the truce to continue, with the upcoming Trump-Xi meeting expected to take place on schedule (May 14-15) and likely producing symbolic deliverables, including selected sets of trade relaxations, and resumption of talks on some other subjects with wider common ground (e.g., fentanyl, climate, aviation, etc.). We believe moderate index level upside is possible as a result of this, as investors direct attention back to China somewhat, after being occupied by the ME/Hormuz situation, as well as the AI-related supercycle that has been making some neighboring markets stand out more (such as Korea, Taiwan and Japan). In addition, China may have additional leverage from the potential role it could play in the ME situation – the latest visit by Iran's foreign minister to Beijing (May 6th) ahead of the US-China summit also supports this.

The prolonged Middle East situation will likely reinforce the high-end power/green tech theme, as energy sufficiency and efficiency gets higher prioritization globally, and where China is best positioned with its highly competitive supply chain. Ongoing US-China competition will continue to enhance China's focus on tech localization with policy support, especially in AI/semi and bio-tech. We believe those themes are longer-term sustainable, eventually nurturing more global champions with valuation re-ratings and a bigger share of the overall China equity market.

Exhibit 4: China's global export market share - MS forecasts another 1-2ppt expansion by 2030 in base case



Source: Haver, Morgan Stanley Research forecasts.

Fluid factors worth monitoring

Aside from near-term downward pressure on earnings estimates, we see three factors that could also increase market volatility for China:

1) Sizable HK IPO share unlocking in July vs. Hang Seng Tech Index and Southbound inclusion events: The two best performing stocks in the HK market year to date – Minimax and Knowledge Atlas –could be included into Hang Seng Tech and Hang Seng

Indices with an approximate combined index weighting of 5-7% and 1-3%, respectively, in early June, based on index review methodology. These two companies should join Stock Connect South Bound in June (Knowledge Atlas) and August (MiniMax), respectively, based on Stock Connect inclusion criteria. These inclusion events would help drive positive momentum towards these indices, inflows into benchmarked ETF funds, and Southbound purchases. On the other hand, the first major unlocking of IPO shares for Minimax (0100.HK) will take place on July 8th 2026, which could push up the company's free float market cap. from its current ~25% of total market cap. to ~33%. This usually tends to cause near-term selling pressure to the stock/theme and may cancel/cannibalize the ETF flows/SB flows discussed earlier.

2) Domestic deflationary environment – when is the inflection? The MS China Economics team are expecting an improved overall inflation reading as they expect exports to continue anchoring China's growth amid the energy shock. They lift 2026 real GDP by 0.1ppt to 4.8%, and GDP deflator by 0.3ppt to 0.5% (China Economics Mid-Year Outlook: Upgrading Growth to reflect AI and Energy Capex Super-cycle), with policy on cruise control. That said, they believe that consumption will still lag amid modest spillover to jobs, leaving reflation narrow in a two-speed economy. The biggest drag on private consumption, the property market, is still facing lofty primary housing inventories with our MS sector team taking a conservative view (China Property: Our Thoughts on Recent Stronger-than-Expected Sales). If we could see any upside surprise from the property market bottoming-out and/or private consumption re-accelerating, we would be more convinced of bigger upside at the broad index level.

3) Still wide range of global macro growth paths: Our Global Economics team has emphasized that the potential paths for US growth and inflation will be unusually important in defining the global macro outlook for the next 12 months. Their *baseline scenario for the US* sees growth drags and inflation boosts have only a modest and temporary effect on the US (assuming that the conflict with Iran is resolved in the next month), and the Fed reacts to softening inflation in early 2027 with two cuts. In addition to the base case, an AI productivity surge, upside aggregate demand, and two oil scenarios – a permanent risk premium in the price and a "demand destruction" scenario that is recessionary. Those alternative macro growth paths in 2026 could also have different implications for China's macro growth, and top-down fiscal and monetary policies, especially given that export growth has been the bigger growth driver for Chinese economy in recent quarters.

2Q 2027 price targets: Moderate upside

As a result, **we expect moderate index level upside led mainly by earnings growth and marginal valuation upside, and the overall next-12-month path should become smoother from 2H**, with 1) more clarity on the global energy crisis, 2) more stable US-China relations, 3) earnings cuts bottoming out, and 4) China further establishing dominant positions in global high-end supply chains.

We see slightly higher earnings growth for 2026 for MSCI China at 7% (vs. 6% previously) for reasons discussed. We also see marginal valuation upside vs. the current level (12.2x vs. 11.9x) but lower than our previous forecast at 12.7x due to a delay in the Fed rate cut cycle and overall smaller liquidity support from the Southbound channel compared to

2025.

Our new 2Q 2027 targets for the Hang Seng (28,400), HSCEI (9,900), MSCI China (91), and CSI300 (5,400) imply upside of 8%, 11%, 12% and 11% from current levels (as of May 8th), respectively.

Exhibit 5: 2Q 2027 bull/base/bear index targets for Morgan Stanley Asia/EM coverage equity indices: 8-12% upside for Chinese equity indices in our base case

	Index	Current Price	MS Target Price (2Q-2027)	MS Top-Down EPS YoY %				Consensus EPS Forecast YoY %			MS Target Fwd P/E 2Q - 2027	Consensus 12m Fwd P/E Current
				Dec-26	Dec-27	2Q-28	Dec-28	Dec-26	Dec-27	Dec-28		
Base Case	TOPIX	3,829	**4,300** *12%*	216 *9%*	235 *9%*	246 *9%*	263 *12%*	224 *11%*	251 *12%*	276 *10%*	17.5x	16.4x
	MSCI EM	1,711	**1,800** *5%*	125 *40%*	136 *9%*	139 *6%*	141 *4%*	130 *51%*	154 *19%*	174 *13%*	13.0x	12.4x
	MSCI APxJ	879	**900** *2%*	59 *40%*	64 *8%*	65 *5%*	65 *2%*	61 *51%*	73 *19%*	82 *12%*	14.0x	13.6x
	Hang Seng	26,394	**28,400** *8%*	2,254 *7%*	2,408 *7%*	2,483 *6%*	2,557 *6%*	2,270 *12%*	2,499 *10%*	2,733 *9%*	11.4x	11.3x
	HSCEI	8,889	**9,900** *11%*	939 *5%*	993 *6%*	1022 *6%*	1050 *6%*	921 *5%*	979 *6%*	1,047 *7%*	9.7x	9.8x
	MSCI China	81	**91** *12%*	6.6 *7%*	7.2 *10%*	7.5 *8%*	7.7 *7%*	6.5 *14%*	7.5 *15%*	8.5 *13%*	12.2x	11.9x
	CSI300	4,872	**5,400** *11%*	315 *10%*	347 *10%*	363 *10%*	378 *9%*	350 *18%*	395 *13%*	442 *12%*	14.8x	14.6x
Bull Case	TOPIX	3,829	**4,890** *28%*	224 *13%*	255 *14%*	272 *15%*	290 *14%*	224 *11%*	251 *12%*	276 *10%*	18.0x	16.4x
	MSCI EM	1,711	**2,100** *23%*	135 *50%*	147 *9%*	150 *7%*	154 *5%*	130 *51%*	154 *19%*	174 *13%*	14.0x	12.4x
	MSCI APxJ	879	**1,080** *23%*	65 *53%*	72 *10%*	72 *6%*	73 *2%*	61 *51%*	73 *19%*	82 *12%*	15.0x	13.6x
	Hang Seng	26,394	**32,400** *23%*	2,299 *8%*	2,504 *9%*	2,589 *8%*	2,675 *7%*	2,270 *12%*	2,499 *10%*	2,733 *9%*	12.5x	11.3x
	HSCEI	8,889	**11,000** *24%*	958 *6%*	1,013 *6%*	1,046 *6%*	1,079 *7%*	921 *5%*	979 *6%*	1,047 *7%*	10.6x	9.8x
	MSCI China	81	**103** *27%*	6.7 *8%*	7.4 *11%*	7.7 *9%*	8.0 *8%*	6.5 *14%*	7.5 *15%*	8.5 *13%*	13.3x	11.9x
	CSI300	4,872	**6,090** *25%*	321 *11%*	361 *12%*	381 *12%*	401 *11%*	350 *18%*	395 *13%*	442 *12%*	16.0x	14.6x
Bear Case	TOPIX	3,829	**2,600** *-32%*	202 *2%*	209 *4%*	217 *7%*	222 *6%*	224 *11%*	251 *12%*	276 *10%*	12.0x	16.4x
	MSCI EM	1,711	**1,100** *-36%*	103 *16%*	101 *-2%*	100 *-2%*	99 *-2%*	130 *51%*	154 *19%*	174 *13%*	11.0x	12.4x
	MSCI APxJ	879	**590** *-33%*	50 *21%*	51 *2%*	51 *1%*	51 *0%*	61 *51%*	73 *19%*	82 *12%*	11.5x	12.9x
	Hang Seng	26,394	**18,000** *-32%*	2,141 *4%*	2,239 *5%*	2,309 *5%*	2,378 *6%*	2,270 *12%*	2,499 *10%*	2,733 *9%*	7.8x	11.3x
	HSCEI	8,889	**6,200** *-30%*	892 *3%*	923 *4%*	934 *3%*	945 *2%*	921 *5%*	979 *6%*	1047 *7%*	6.7x	9.8x
	MSCI China	81	**60** *-26%*	6.1 *3%*	6.4 *5%*	6.6 *5%*	6.7 *5%*	6.5 *14%*	7.5 *15%*	8.5 *13%*	9.1x	11.9x
	CSI300	4,872	**3,550** *-27%*	304 *7%*	319 *5%*	326 *5%*	333 *4%*	350 *18%*	395 *13%*	442 *12%*	10.9x	14.6x

Source: RIMES, MSCI, FactSet, IBES, Datastream, Bloomberg, Morgan Stanley Research. Data as of May 8, 2026.

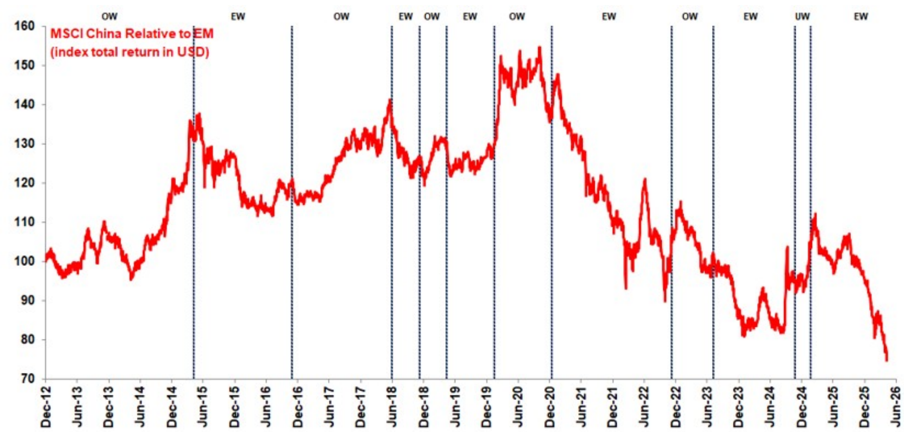
Stay equal-weight on China within our EM/APxJ framework given MSCI China's suppressed performance due to index composition limits

We maintain our equal-weight recommendation for MSCI China within the global EM/AxJ framework as we see largely comparable upside compared to the broad MSCI EM index. As explained earlier, the sectors that we believe will outperform the index are artificially less represented in the index due to composition rule limits.

We do believe that the sheer size of opportunities in China's equity market at the single stock and thematic level – fueled by solid fundamentals and promising themes (e.g. tech localization, high-end manufacturing, etc.) – should allow investors to construct a targeted Chinese portfolio that outperforms other peers.

We highly recommend high-quality stocks with strong tech/innovation capabilities given their closer alignment with China's 15th Five-YHear Plan, and stocks showing promise of taking a bigger global footprint to meet demand for energy sufficiency and efficiency. Other catalyst-driven stock ideas, such as US-China summit beneficiaries and Southbound inclusion, are also worth considering.

Exhibit 6: MSCI China relative performance (vs. MSCI EM, by index total return in USD) & MS rating history on China – Stay equal-weight



Source: MSCI, FactSet, Datastream, Morgan Stanley Research. Data as of May 7, 2026; Past performance is no guarantee of future results.

What could get us more bullish at the broad index level?

- **A clearer path to an earlier-than-expected breakout of the current deflationary trend** would be extremely important.
- **More sustained global geopolitical situation**, particularly on a quicker and sustainable solution to the energy shock and/or a much improved US/China relationship.
- **Further breakthrough of China's technology advancement**, with potential addressable market size expanding to cover more regional and even global market share. Meaningful improvement of LLM capabilities and monetization outlook by the major hyperscalers would provide much better support for the broad index.

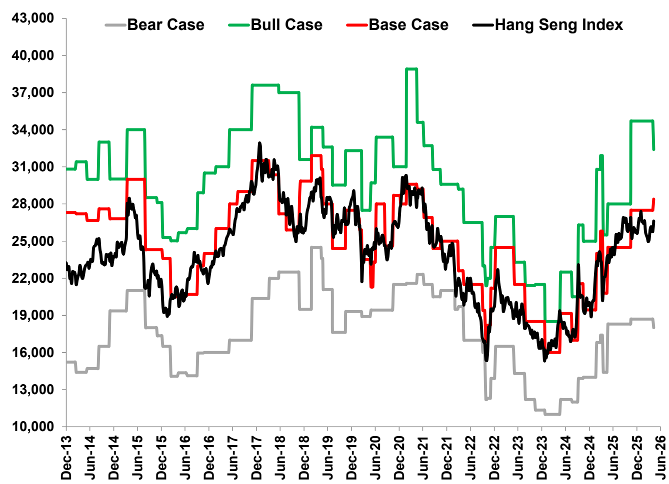
Bull-bear spread remains wide

Our bear/bull targets for 2Q 2027 represent a rather wide range of Chinese equity market performance outcomes (for MSCI China, from bear -26% to bull +27%).

A bull case would entail a much earlier breakout from the current deflation cycle, combined with an improved US/China relationship, supported by the upcoming US-China presidential summit in Beijing. Together with steady and robust R&D development by Chinese companies, and more global champions rising in the higher-end manufacturing supply chain, a much higher valuation would be justified. This scenario would suggest meaningful upside for Chinese equities at 27% for MSCI China. We would expect MSCI China's valuation discount vs. MSCI EM to compress (from 6.5%, as suggested by the base case to 4.7%) as China regains the status as a robust growth economy.

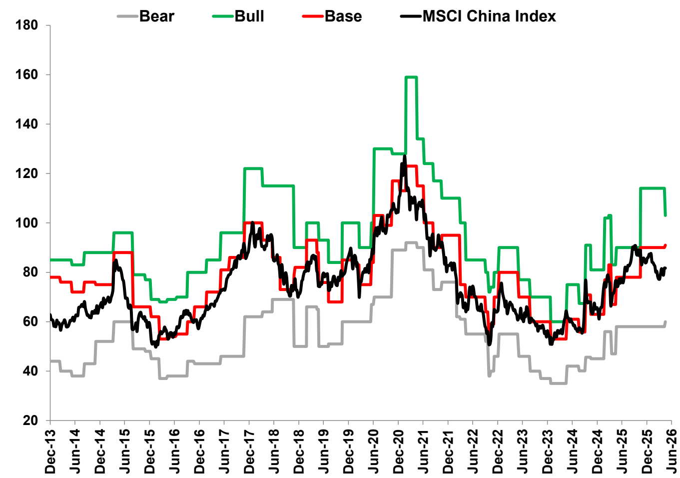
Bear case: WSe would expect a much worse deterioration of domestic macro conditions with deflation further entrenched across different segments of the economy. Moreover, a much gloomier global growth slowdown or even recession would significantly dampen export growth for China, which currently serves as the biggest growth driver for the economy. In addition, unexpected disruption could re-emerge on the US/China front, which could cause spike in the equity risk premium. We think such a combination would send the market much lower (Exhibit 7 , Exhibit 8). Valuations could de-rate, back to 9.1x 12-month forward P/E for MSCI China, while earnings growth could also slow to 3% in 2026, and continue to stagnate in 2027, reflecting the more challenging macro environment.

Exhibit 7: Morgan Stanley index target history for Hang Seng (bull, base, bear) – We set our base-case 2Q 2027 target at 28,400, implying 8% upside from the close on May 8, 2026



Source: RIMES, FactSet, Morgan Stanley Research forecasts. Weekly price index data as of May 8, 2026.

Exhibit 8: Morgan Stanley index target history for MSCI China (bull, base, bear) – We set our base-case 2Q 2027target at 91, implying 12% upside from the close on May 8, 2026



Source: RIMES, FactSet, Morgan Stanley Research forecasts. Weekly price index data as of May 8, 2026.

We prefer A-shares over China's offshore markets

We still prefer A shares on a full-year 2026 basis given the following reasons:

- Higher concentration of high-end upstream manufacturing and hard-core tech companies, which we continue to like as a multi-year long-term investment thesis;
- Highly anticipated potential A-share IPOs, such as YMTC, CXMT, and Unitree

Technology, are likely to generate bigger participation by domestic institutional and retail investors;
- National Team standing by. We reiterate that the National Team sold approximately US$80bn worth of positions back in Jan-Feb 2026. These funds could be directed to smooth short-term market volatilities, as well as invest in longer-term, more strategic and thematic ETFs.

Sector preferences & recommended trades – Focus more on thematic stock picking; less on index

We strongly prefer upstream asset-focused sectors that are less disruptable by the AI super cycle, compounded by the rising likelihood of taking over more global market share with the backdrop of energy sufficiency and efficiency being re-prioritized. Those sectors include selected Materials, Industrials, and Energy. We also like the tech localization theme, which should continue to benefit semis particularly within IT. We maintain moderate exposure to Financials (Insurance and Exchanges), as well as yield plays, to continue to receive stable cash payments that help smooth any potential market volatility. We stay underweight on sectors dragged down by gloomy macro conditions, i.e., Real Estate and Consumer Staples.

Key trades for 2H2026:

1. A-shares > offshore, given bigger focus on tech and high-end manufacturing;
2. Sector-wise overweight on selected Materials, Industrials, Semis and Insurance; underweight consumer and property;
3. Upstream global energy self-sufficiency beneficiaries with growing export footprints.

We provide detailed discussions and rationales for each of these trades in Key trades for the next 12 months .

Morgan Stanley's equity framework for China – we see brighter spots in earnings and currency

What our framework says – Earnings cut decelerating amid stronger forecast of USDCNY amid global macro uncertainty

We revisit our equity market evaluation framework for China (Exhibit 9) and highlight how the key influencing factors have evolved and what the overall market impact is likely to be. The arrows in the exhibit show the incremental dynamic shifts (improving/deteriorating) compared with the past. In general, we would like to see at least three or more factors improving before becoming more constructive on the market.

For the 2026 mid-year outlook review cycle, we see a few trends that collectively point towards a slightly better outlook with some serious uncertainty lingering:

Positives: significant pressure for consensus estimate reductoins to lessen; stronger outlook for USDCNY compared to 6 months ago.

We see the upcoming US-China presidential meeting (May 14-15) as a potential minor positive from a US-China relationship perspective with selected sectors and stocks likely to benefit. However, more clarity is definitely needed to judge its magnitude and sustainability, especially given the global geopolitical uncertainty.

The negatives and the unknowns: The biggest question mark remains the uncertainty around the global macro growth outlook against the backdrop of a still-ongoing energy crisis. MS's latest Fed rate policy path has been pushed out to two cuts in 1H 2027 compared to late 2026 when the new year outlook was published. We are also mindful that the global energy shock situation remains fluid and expectations for inflation, macro growth, etc., are subject to change and could impact global central bank policies as well.

Exhibit 9: Morgan Stanley China Equity Strategy framework – Earnings pressure reappears while US/China tension eases

		2018	2020 Post Covid-19	2H 2021	Dec-22	Aug-23	Feb-25	2025 Year End	2026 Mid Year
1	Economic/Earnings Estimates	x	✓	Neutral	xx	xx	x	x	Neutral
2	Valuation	x	✓	x	Neutral	Neutral	✓	Neutral	Neutral
3	Liquidity	x	✓	x	✓	x	✓	✓	Neutral
4	Policy Cycle	x	✓	x	✓✓	✓	✓	✓	✓
5	USDCNY trend	x	✓	Neutral	✓	x	xx	x	✓
6	US/China & geopolitical tension	x	Neutral/ Slightly negative	Neutral/ Slightly negative	Neutral/ Slightly negative	Neutral/ Slightly negative	x	Interim truce	Interim truce
7	Regulatory/Policy priority	x	Neutral	x	✓	xx	✓	✓	✓
		Downgrade	Upgrade	Downgrade	Upgrade	Downgrade	Upgrade	PT increase	PT increase

Source: Morgan Stanley Research. Tick indicates our view on the factor is improving, while x indicates the factor is deteriorating, and xx indicates a greater level of deterioration.

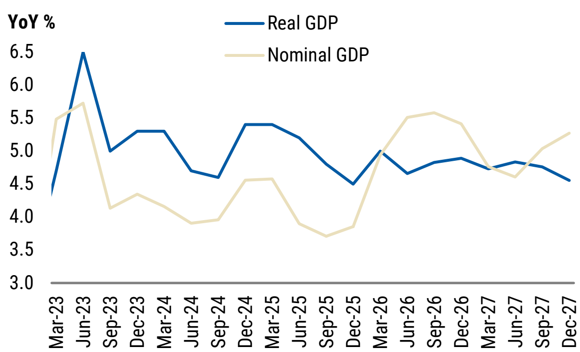
Earnings outlook modestly improving, thanks to three key reasons

Looking into the next 6-12 months, we see a marginally better earnings growth outlook and believe that the momentum in earnings estimate cuts could start to decelerate from 2H. Three key developments, in our view, are the key driving force behind it:

1) Stronger export growth and AI/Energy capex supercycle.

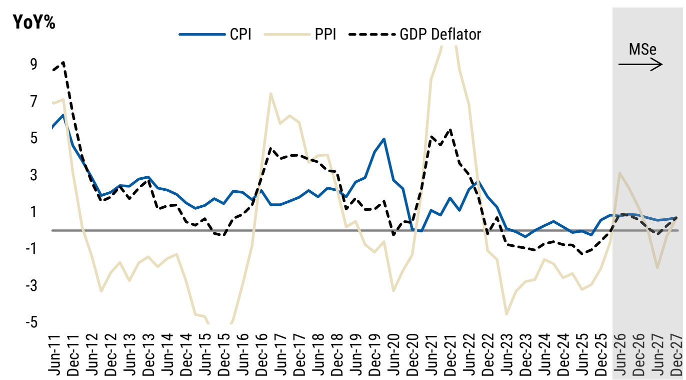
MS China economics team lifts their 2026 real GDP growth forecast by 0.1ppt to 4.8%, sustained at 4.7% in 2027. They expect export growth to still lead growth given that the Middle East conflict is accelerating green-transition demand, which plays to China's renewable supply chain, while supply chain resilience enables incremental export market-share gains. They also raise the GDP deflator forecast 0.3ppt,to 0.5%, as structural tailwinds in AI, energy transition, and supply chain resilience - culminating in strong exports - largely offset the drag from higher oil prices.

Exhibit 10: China – GDP growth history and forecasts – MS forecasts 2026 and 2027 real GDP to be at 4.8% and 4.7%, respectively



Source: CEIC, Morgan Stanley Research estimates

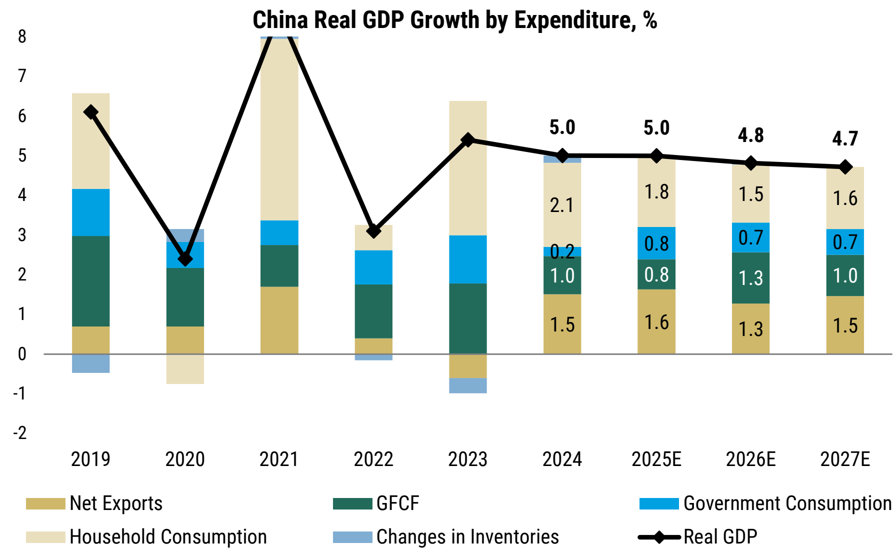
Exhibit 11: China – GDP deflator (yoy%) – Deflation Persists in 2026, Reflation Ahead in 2027



Source: CEIC, Morgan Stanley Research estimates

Exhibit 12:

China – real GDP growth by expenditure – magnitude of fiscal stimulus would remain modest



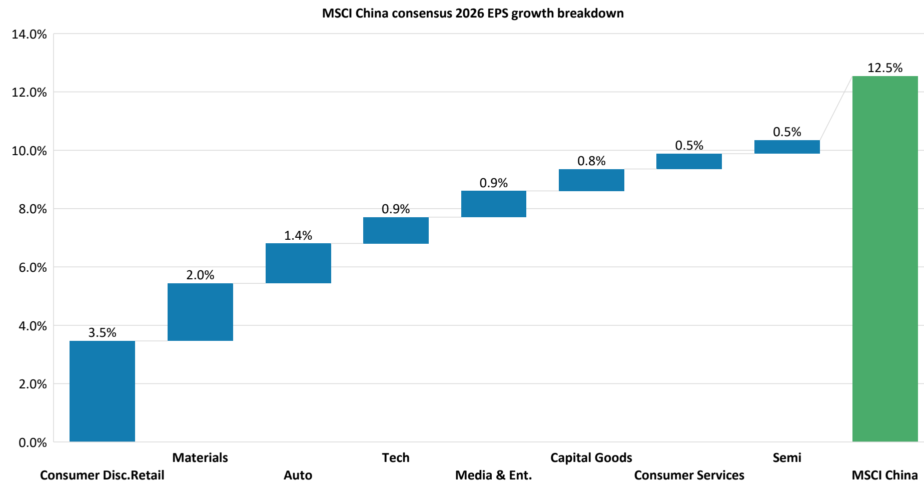
Source: NBS, Morgan Stanley Research (E) estimates

2) Earnings damage peaking from large-cap platform companies' price war, with the strict government regulation being enforced from April.

China's top market regulator (SAMR, the State Administration for Market Regulation) summoned major e-commerce and internet platforms in Feb. 2026 (e.g. Alibaba, JD.com, Meituan, Douyin, Tencent, Baidu). The meeting was part of a broader regulatory push to curb intense price competition and aggressive promotional practices. Authorities explicitly told companies to stop "involution-style competition" (this refers to excessive discounting/ subsidies, and competing on price at or below cost while creating little real productivity or innovation gain). Strictly enforced rules then took effect on April 10, 2026. Announced jointly by NDRC, SAMR, and the Cyber Administration of China, the rules banned e-commerce platforms from forcing merchants to set the lowest prices, or using algorithms to set different prices for users without consent. Our MS China internet team has also flagged that fast delivery competition-driven losses should have peaked for companies like Baba and Meituan.

Given the dominant share of platform e-commerce companies in MSCI China earnings growth breakdown (Exhibit 13), we take the peaking of price competition as a positive catalyst for the subsequent earnings trend.

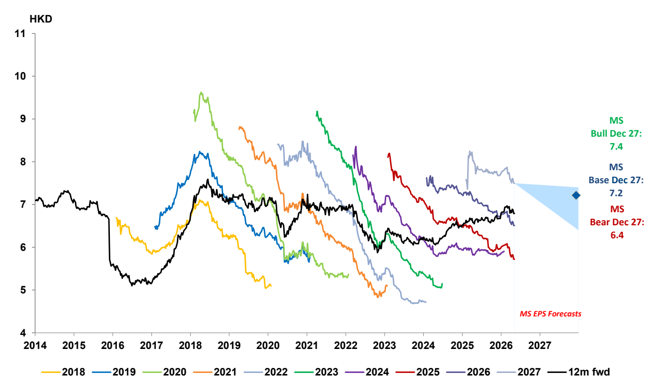
Exhibit 13: Growth breakdown: MSCI China consensus 2026 EPS - Internet/E-commerce contribute 40% of consensus earnings yoy growth



Source: IBES, MSCI, Factset, Datastream, Morgan Stanley Research. Data as of May 8, 2025.

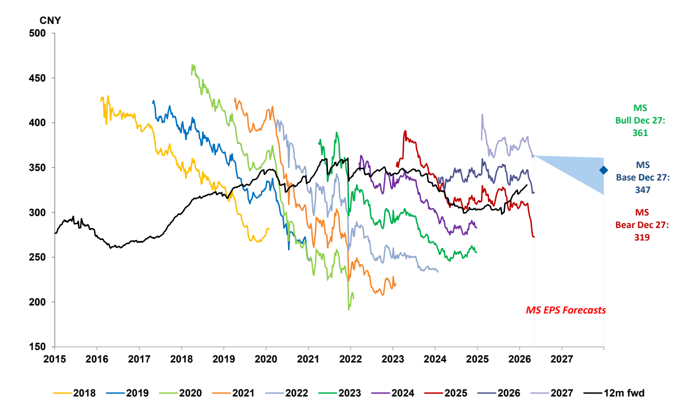
Comparisons between our and consensus estimates are shown in (Exhibit 14 , Exhibit 15).

Exhibit 14: MS EPS base-case forecasts for MSCI China at Dec-25, Dec-26 and Dec-27



Source: IBES, Datastream, Morgan Stanley Research. Weekly data as of May 7, 2026.

Exhibit 15: MS EPS base-case forecasts for CSI 300 at Dec-25, Dec-26 and Dec-27



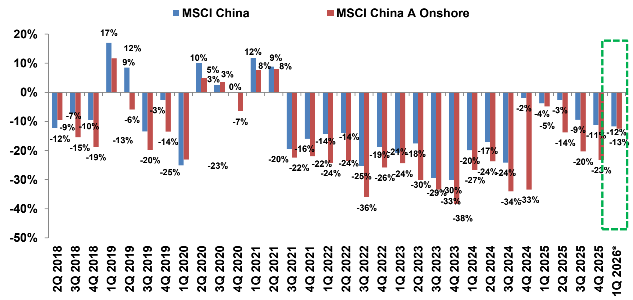
Source: IBES, Datastream, Morgan Stanley Research. Data as of May 7, 2026.

3) Modest CNY appreciation against USD (detailed discussion in Section USDCNY trajectory: modest appreciation ahead).

However, we remind investors that as we go through 1Q results season, we may experience another round of downward earnings revisions...

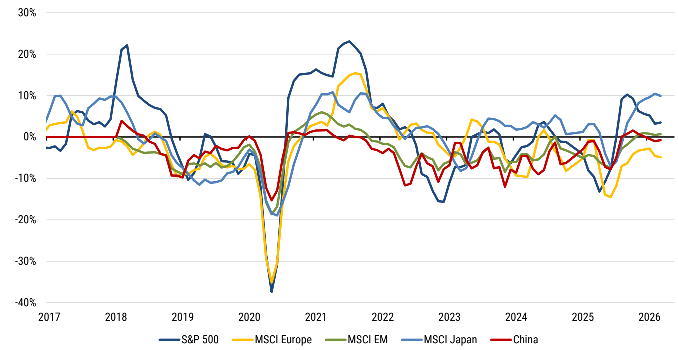
...before things start to lighten up with 2Q results coming out from July: This is because the biggest earnings growth driver at the sector level for MSCI China remains the Internet platform companies. The anti-involution price war regulation implementation had only been strictly enforced since April, suggesting that the improvement of earnings damage will only start to show up in the second quarter results. Preliminary 1Q earnings results across MSCI China and the A-share universe still show sizeable misses by number of companies (Exhibit 16), with the A-share universe starting to show some early signs of earnings misses bottoming out.

Exhibit 16: History of Chinese equity market earnings surprises by number of companies - Slightly better results so far in 1Q26 vs. 4Q25, but still a solid miss



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 7, 2026. 1Q 2026* represents interim cut for 1Q 2026 results.

Exhibit 17: 12-month forward consensus earnings estimate revision breadth (ERB, 3mma) - Trending up but yet to break positive



Source: Factset, Morgan Stanley Research. Note: Monthly data as of April, 2026

For a detailed breakdown of consensus earnings growth estimates as well as Morgan Stanley's bottom-up aggregate earnings growth estimates for MSCI China, please see Exhibit 18 and Exhibit 19 .

Exhibit 18: MSCI China consensus EPS decomposition, by industry

	Consensus EPS Contribution			EPS Growth			EPS Growth Contribution		
MSCI China	**2025E**	**2026E**	**2027E**	**2025E**	**2026E**	**2027E**	**2025E**	**2026E**	**2027E**
Automobiles & Components	0.09	0.17	0.25	22%	96%	47%	0.3%	1.3%	1.1%
Banks	1.59	1.62	1.68	1%	1%	4%	0.3%	0.4%	0.9%
Capital Goods	0.16	0.23	0.26	-15%	47%	13%	-0.5%	1.2%	0.4%
Commercial & Professional Services	0.00	0.01	0.02	NM	NM	15%	0.0%	0.2%	0.0%
Consumer Durables & Apparel	0.10	0.12	0.13	22%	11%	11%	0.3%	0.2%	0.2%
Consumer Services	0.14	0.15	0.28	-52%	12%	80%	-2.7%	0.2%	1.6%
Diversified Financials	0.13	0.16	0.18	4%	28%	10%	0.1%	0.6%	0.2%
Energy	0.21	0.24	0.25	-13%	15%	2%	-0.6%	0.5%	0.1%
Consumer Staples Distribution & Retail	0.01	0.01	0.02	15%	13%	18%	0.0%	0.0%	0.0%
Food Beverage & Tobacco	0.10	0.12	0.14	-20%	21%	15%	-0.4%	0.3%	0.2%
Health Care Equipment & Services	0.03	0.03	0.03	-22%	2%	10%	-0.1%	0.0%	0.0%
Household & Personal Products	0.01	0.01	0.01	16%	6%	7%	0.0%	0.0%	0.0%
Insurance	0.67	0.60	0.66	26%	-10%	8%	2.4%	-1.1%	0.7%
Materials	0.18	0.36	0.40	22%	97%	10%	0.6%	2.7%	0.5%
Media & Entertainment	1.05	1.08	1.21	13%	3%	12%	2.1%	0.4%	1.7%
Pharmaceuticals, Biotechnology & Life Sciences	0.09	0.12	0.14	86%	32%	24%	0.7%	0.4%	0.4%
Real Estate	0.08	0.09	0.11	12%	16%	11%	0.1%	0.2%	0.1%
Consumer Discretionary Distribution & Retail	0.66	0.87	1.13	-33%	31%	30%	-5.6%	3.2%	3.5%
Semiconductors & Semiconductor Equipment	-0.01	0.03	0.05	54%	NM	66%	0.2%	0.5%	0.2%
Software & Services	-0.01	-0.01	0.00	-23%	NM	139%	0.0%	0.0%	0.1%
Technology Hardware & Equipment	0.17	0.23	0.30	17%	33%	31%	0.4%	0.9%	0.9%
Telecommunication Services	0.02	0.02	0.02	9%	24%	7%	0.0%	0.1%	0.0%
Transportation	0.09	0.09	0.10	-27%	-1%	4%	-0.6%	0.0%	0.0%
Utilities	0.15	0.14	0.15	3%	-4%	6%	0.1%	-0.1%	0.1%
MSCI China	**5.7**	**6.5**	**7.5**	**-3%**	**14%**	**15%**	**-3%**	**14%**	**15%**

Source: IBES, MSCI, FactSet, Datastream, Morgan Stanley Research. Data as of May 8, 2026.

Exhibit 19: MS top-down and bottom-up MSCI China EPS forecasts, by industry

MSCI China Sectors EPS Growth Decomposition	Index weight*	2025E	2026E	2027E
Consumer Discretionary	24%	(33%)	17%	42%
Consumer Staples	3%	(0%)	26%	10%
Information Technology	7%	21%	2%	30%
Health Care	4%	40%	4%	17%
Communication Services	18%	9%	8%	14%
Utilities	1%	2%	(3%)	5%
Real Estate	1%	(39%)	26%	14%
Financials	18%	7%	(3%)	7%
Energy	3%	(12%)	28%	9%
Materials	4%	29%	78%	5%
Industrials	4%	(1%)	7%	13%
MS bottom up forecasts of EPS growth for MSCI China		(3%)	7%	15%
MS top down forecasts of EPS growth for MSCI China		5%	6%	10%
Consensus EPS growth for MSCI China		(3%)	14%	15%

Source: FactSet, Datastream, ModelWare, Morgan Stanley Research. Data as of May 8, 2025. *Only index weight of MS research covered stocks that are MSCI China constituents are counted. Hence it may not sum to 100% due to coverage.

Valuation looks fair with marginal upside

MSCI China's 12-month forward P/E now sits at 11.9x, implying a 4% discount vs. MSCI EM at 12.4x: The current P/E is just on par with MSCI China's five-year average forward P/E at 11.5x. We think this valuation is more fair vs. six months ago, when MSCI China was trading at more than 13x 12-month forward P/E, significantly above the historical average. **Therefore, in both absolute and relative terms, we think valuation for Chinese equities looks fair and sustainable.**

We see marginal re-rating upside: We expect marginal upside in valuation - 12-month forward P/E to hit 12.2x by 2Q2027. This should be supported by:

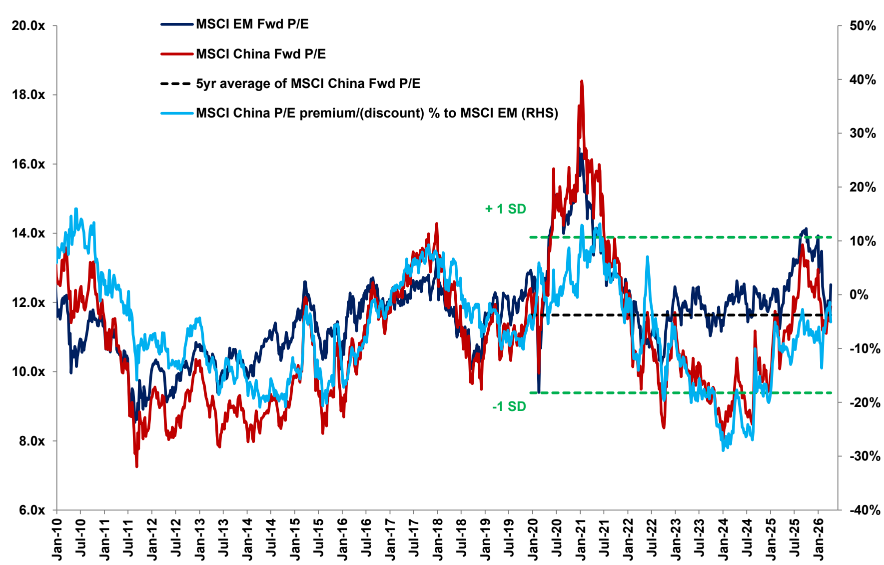
- Gradual improvement of earnings/corporate fundamentals as discussed in the earnings section,
- Further dominance achieved by Chinese companies in the global supply chain,
- Addition of high-quality, popular technology names (i.e., LLMs) into the index,
- Alongside a stronger USDCNY outlook.

Morgan Stanley's US economics team still expects two rate cuts in the coming 12 months in the base case, suggesting a stable liquidity environment, with everything else being equal.

Further upside for MSCI China's valuation could be triggered by a confluence of the following developments:

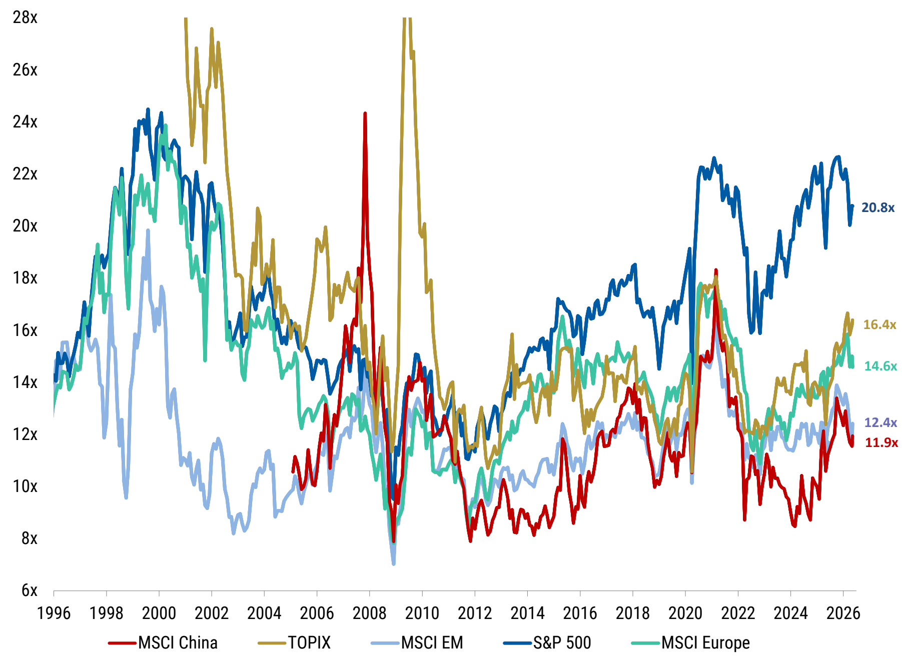
- China's macro economy breaking out of deflation,
- Meaningful further de-escalation of US/China tensions in the format of a "Grand Bargain", and/or
- Major breakthrough in tech and innovation areas.

Exhibit 20: MSCI China 12-month forward P/E vs. MSCI EM – MSCI China now trades at 11.9x with ~4% discount vs. MSCI EM



Source: Datastream, MSCI, Morgan Stanley Research. Weekly data as of May 8, 2026.

Exhibit 21: MSCI China trades at 11.9x 12-month forward P/E, still at discounts to other major global equity markets



Source: Datastream, RIMES, Morgan Stanley Research. Data as of May 8, 2026

Liquidity – tighter for longer in 2026

Fed rate cut schedule pushed out to 1H2027: The Hong Kong market and ADRs are more correlated with external liquidity dynamics, which are closely affected by the Fed policy cycle. Morgan Stanley's US economics team has pushed out their schedule of two rate cuts to 1H 2027, reflecting a shift toward neutrality and a higher bar for rate cuts signaled at the April FOMC.

Southbound net inflow remains positive but at a much smaller scale: Another important source of liquidity for the Hong Kong market is the Southbound channel inflow. YTD, it has been in a steady positive trend, with total net inflow hitting US$32bn. That said, this is only about ~41% of the total net cumulative inflow during the same time in 2025. Multiple reasons have contributed to this, in our view:

1. Lackluster YTD performance of large-cap platform companies (used to be the largest inflow destination for Southbound investors);
2. Greater concentration of better-performing sectors/stocks in the A-share market;
3. Hong Kong's higher sensitivity to global geopolitical uncertainties and fund flow volatility, etc.

Points #2 and #3 will remain status quo on a six- to 12-month basis; #3 in particular would be subject to a more sustainable solution to the Hormuz situation.

A-share market – National Team standing by: The A-share market, it is more directly influenced by the domestic funding situation, which is highly linked to the domestic yield environment and monetary policy direction. The most recent decline of long-term government bond yields onshore (10-year and 30-year) may temporarily slow down allocation from bonds to equities. However, we continue to believe strongly that the National Team's deep pockets could be leveraged to smooth out unexpected volatility spikes and/or to support thematic ETF investment on hard-core tech & innovation fronts, in addition to large-cap index ETFs. Please also refer to the section Flows and positioning – positive inflow outlook, with greater visibility onshore for more detailed discussion of global investor positioning and implications.

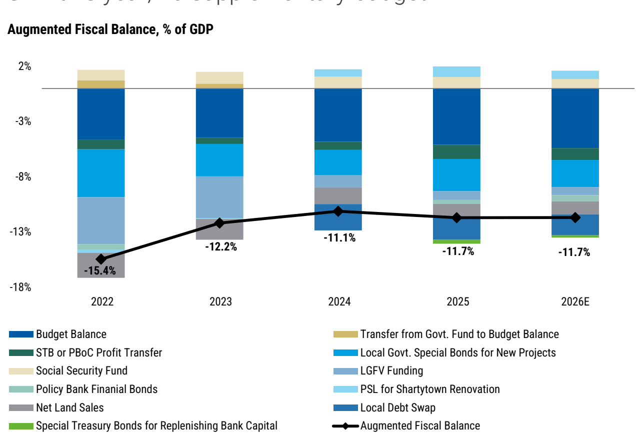
No investment recommendation is made with respect to any of the ETFs or mutual funds referenced herein. Investors should not rely on the information included in making investment decisions with respect to those funds.

Beijing policies set to stay on cruise control

Morgan Stanley's economics team for China thinks no additional policy easing is in sight: According to the team (China Economics Mid-Year Outlook: Upgrading Growth to reflect AI and Energy Capex Super-cycle), under Beijing's "cushioning, not lifting" policy approach, the upbeat 1Q26 GDP growth (5%) and export resilience through the oil shock have likely reduced the urgency for fresh stimulus. The April Politburo meeting highlighted "targeted and effective" policy support, and urged prompt rollout of "shovel-ready" infrastructure projects, implying continued budget front-loading but a low likelihood of fiscal top-ups or policy rate cuts for the remainder of the year. **Thus, the team expects the augmented fiscal deficit to stay flat at 11.7% of GDP this year, as set at the March NPC, with no additional monetary easing in 2H26.**

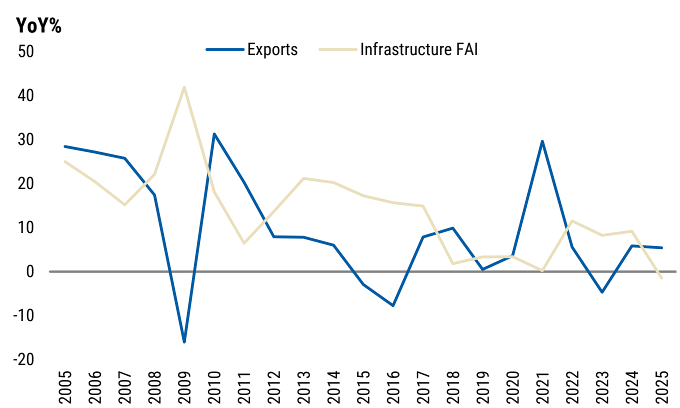
Instead, policymakers will likely lean more on liquidity operations and quasi-fiscal tools (such as PBoC targeted relending and PSL) to support the economy. We also expect Beijing to double down on a tech-led, supply-centric path given the global geopolitical development, which will likely lead to continued capital allocation toward strategic sectors (see more related investment opportunities in the section Key trades for the next 12 months). As a result, we see "policy cycle" as a neutral factor (compared to six months ago) with limited impact on the overall equity market.

Exhibit 22: Augmented fiscal deficit will likely stay flat at 11.7% of GDP this year; no supplementary budget in 2H



Source: CEIC, Wind, Morgan Stanley Research estimates

Exhibit 23: Export resilience will likely reduce urgency for additional countercyclical easing



Source: CEIC, Morgan Stanley Research estimates.

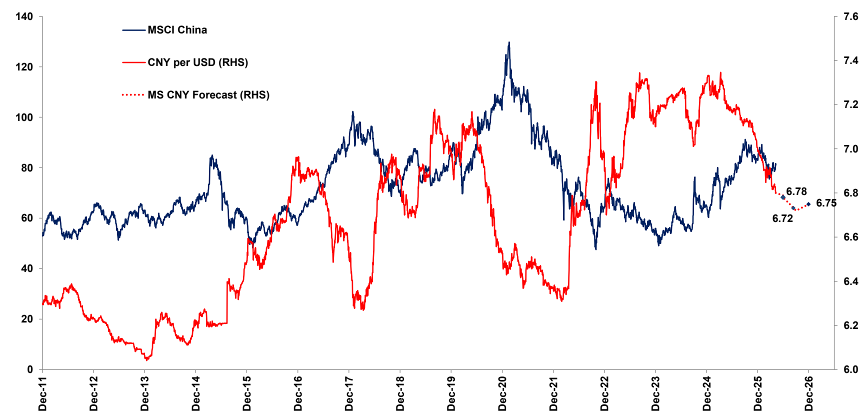
USDCNY trajectory: modest appreciation ahead

Morgan Stanley's forecast of USDCNY by 2Q2027 has been revised to ~6.80, with interim exchange rate strengthening to as much as 6.75 by year-end 2026 (from 7.00; currently ~6.83), reflecting growth outperformance and later, a softer USD as oil-driven risk aversion fades. We expect appreciation through end of 2026, followed by a largely range-bound pattern through 2027.

That said, while the large trade surplus suggests scope for RMB strength, we do not see it as the sole anchor for RMB dynamics. The PBoC is likely to remain mindful of still-soft domestic price dynamics, and is unlikely to rely on currency strength as a primary tool to address growth imbalances.

Historically, MSCI China has tended to show quite a clear negative correlation between its performance and currency weakness (Exhibit 24). Therefore, Morgan Stanley's latest USDCNY forecast suggests some marginal support for the equity market through the positive translational impact on earnings, particularly for the offshore equity indices (MSCI China, Hang Seng, HSCEI). This is also part of why we are raising our full-year 2026 earnings growth forecast modestly.

Exhibit 24: MSCI China vs. USDCNY – MS USDCNY forecast points to 6.78 by end-2Q26 and 6.75 by 2026 year-end



Source: CEIC, Morgan Stanley Research. Data as of May 8, 2026. MS China Economics team expects USDCNY to reach 6.78, 6.72 and 6.75 by end-2Q26, end-3Q26 and end-2026.

US-China relationship amid new global geopolitical developments

In our view, the Trump-Xi Summit – set for May 14-15 – will be an event laden with near-term catalysts. Investors are somewhat concerned about tail risk, given the higher frequency of bilateral conflicts lately, including:

- Recent exercises and deployments by the US and Philippines;
- The progress of the MATCH Act in the US Congress, which aims to tighten semiconductor equipment controls on China; and
- The latest Section 301 investigations into alleged excess capacity.

We expect an extension of the current US-China truce with symbolic deliverables:

Minor index-level upside is likely, but unlikely to lead to a major market risk premium re-rating. We expect the upside in the format of a minor "relief rally" instead of a“fundamental re-rating catalyst.” This is because what can realistically be achieved on some of the likely key topics of the summit by nature comes under the category of a “managed-stability communiqué” rather than what might be termed a "Grand Bargain." These topics include: 1) Middle East conflict; 2) tariff/trade investigation; 3) tech controls and restrictions; and 4) Taiwan.

A moderate set of trade relaxations in certain industries is possible, along with resumption of talks on some other subjects with wider common ground (e.g., fentanyl, climate, aviation, etc.). We see upside for selected TMT, Materials and Transportation stocks, while Utilities, Chemicals and Batteries may see a very short-term boost depending on the relaxation scope disclosed.

The ongoing Hormuz/energy crisis has strategically enhanced China's positioning: The Hormuz situation, in our view, has, on balance, meaningfully improved China's global geopolitical and economic leverage across several dimensions. China's energy consumption mix is comparatively less reliant on oil and gas, with coal retaining a dominant share of its energy structure, rendering China more resilient amid direct oil price shocks than regional peers such as Japan, South Korea, and India. Furthermore, China had already built substantial strategic petroleum reserves ahead of the crisis, providing a meaningful buffer against near-term supply disruptions. Meanwhile, China's commitment to green/alternative energy transition has also prepared China well for future potential disruptions.

We have argued that China's share of global exports could rise from 15% currently to 16.5% by 2030 despite rising global trade protectionism, underpinned by its ability to anticipate shifts in global demand and mobilize resources ahead of the curve – most visibly in EVs, batteries, solar, and increasingly AI-adjacent hardware.

The Middle East conflict strengthens this conviction by refocusing attention on China’s resilient energy structure, which should:

1. Insulate its supply chain from oil shocks more effectively than global peers, translating into superior cost and operational resilience; and
2. Enable faster AI build-out and diffusion, as stable, low-cost green power remains a critical input for data centers and intelligent manufacturing.
3. Moreover, sustained oil shocks may heighten global urgency around energy transition, further benefiting China’s green-tech sectors, where the country already holds dominant global market share.

We have screened for high-quality stocks best positioned to gain more global footprint as a result of this. For more details please refer to Section Key trades for the next 12 months .

At the geopolitical level, we note that China is Iran's largest oil buyer and a substantial economic partner. A recent example of cooperation was the visit by Iran's foreign minister visit to Beijing on May 6, just ahead of the US-China presidential summit. We think this suggests that Beijing could play a more active role as a mediator for global energy stability.

China's A-share market: continue to prefer A over offshore

The A-share market has been largely outperforming MSCI China YTD: The A-share market (proxied by CSI 300) has posted 8% absolute USD return YTD, outperforming both MSCI China and Hang Seng – by 11ppts and 6ppts, respectively.

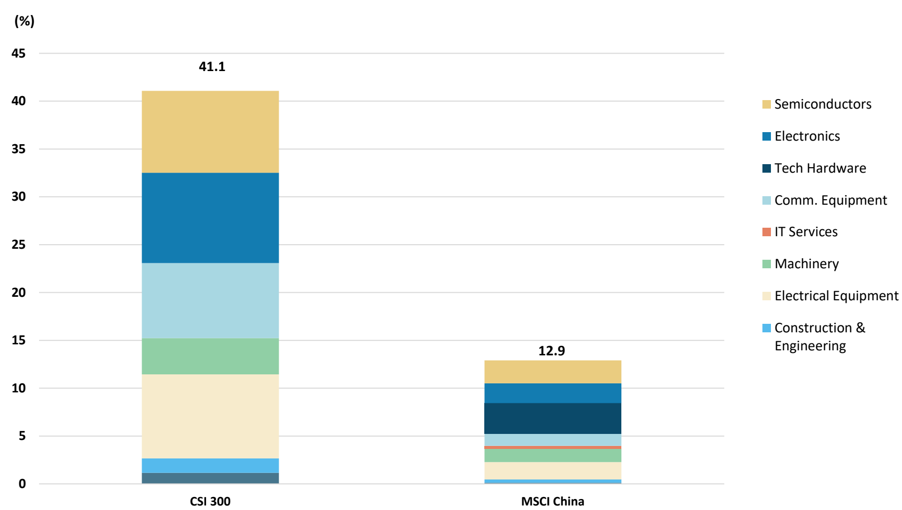
- We officially switched to overweight A-shares over offshore indices as of March 1 against the backdrop of the abrupt breakout of crisis in the Middle East. The CSI 300 has outperformed MSCI China by 6ppts since then (and about 20% in the past 12 months).

We continue to expect such outperformance in the next 6-12 months, because:

We still prefer A-shares on a full-year 2026 basis: We believe that the Hong Kong market could enjoy a bigger rebound opportunity versus the A-share market if a faster, sustainable, and complete reopening of the Strait of Hormuz takes place in the near term. However, we still prefer A-shares on a full-year 2026 basis for the following reasons:

- Higher concentration of high-end upstream manufacturing and hard-core tech companies, which we continue to like as a multi-year investment theme. Our recommended A-share Thematic Focus List (Exhibit 46) reflects this view;

Exhibit 25: Snapshot of high-end upstream manufacturing and hard-core tech companies - Much bigger representation in the A-share market than in MSCI China

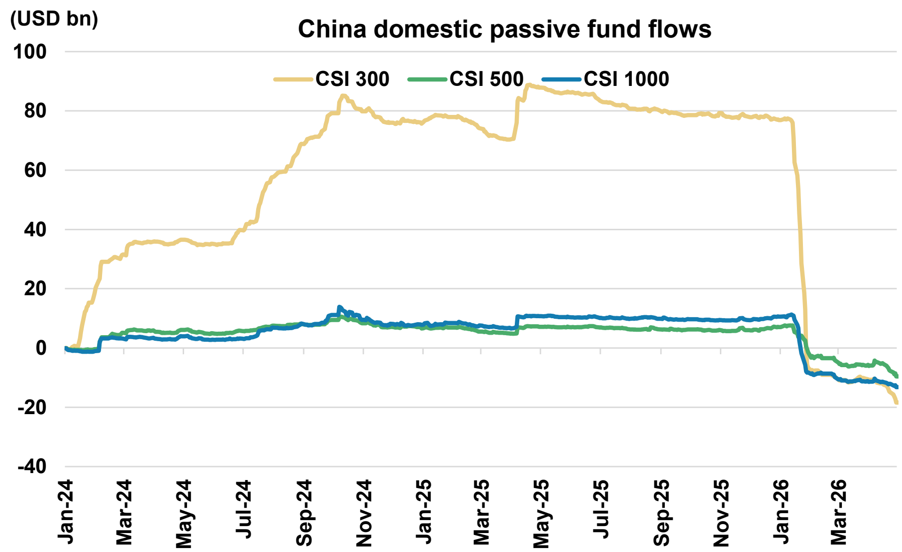


Source: Factset, Morgan Stanley Research. Data as of May 8, 2026.

- Highly anticipated potential A-share IPOs – such as YMTC, and CXMT, and Unitree Technology – are likely to generate greater participation by domestic institutional and retail investors. We see clear policy support by Chinese regulators to direct more high-tech companies to A-share market IPOs, and for the broader domestic investors to be able to participate in their growth journey;.
- The National Team is standing by. We reiterate that the National Team sold approximately US$80bn worth of positions back in Jan-Feb 2026. These funds could be directed to smooth short-term market volatility, as well as invest in

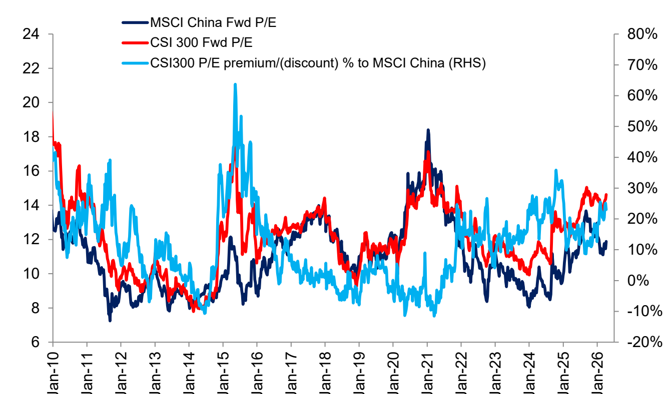
longer-term, more strategic and thematic ETFs

Exhibit 26: China – domestic passive fund flows – National Team sold ~US$80bn in CSI 300 ETFs in January 2026 and US$8bn in April



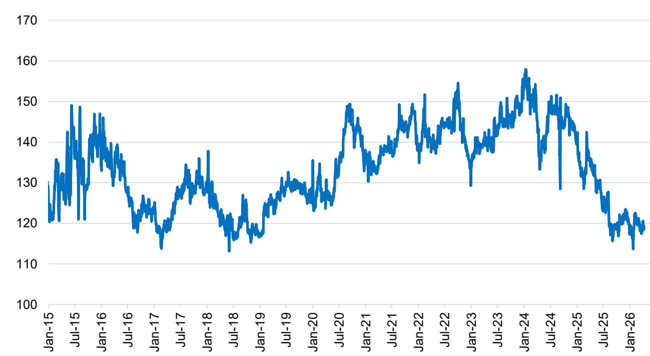
Source: EPFR, Morgan Stanley Research. Data as of May 7, 2026.

Exhibit 27: Valuation of CSI300 absolute and relative to MSCI China



Source: Datastream, Morgan Stanley Research. Data as of May 8, 2026.

Exhibit 28: Hang Seng A-H Premium index



Source: Factset, Morgan Stanley Research. Data as of May 7, 2026.

What could change our view?

- **A major improvement in the US/China relationship following the May 14-15 Summit;**
- **Relative valuation premium vs. offshore becoming extreme:** The CSI 300 now trades at a 23.8% premium vs. MSCI China on a 12-month forward P/E basis. Historically a premium above 30% or more could be alerting a near-term performance reversal;
- **A sustained macro reflation in China:** Large-cap platform companies represent a significant percentage of the offshore indices and their performance is still meaningfully tied to private consumption momentum.

We recommend Morgan Stanley's A-share Thematic stock list (Exhibit 46).

Flows and positioning – positive inflow outlook, with greater visibility onshore

We look at flows and positioning for offshore and A-share markets and expect stable inflow for both in our base case, though onshore A-share flows carry higher visibility and greater certainty: The flow dynamics for the onshore A-share market and offshore (Hong Kong, ADRs) should be looked at separately as they can be subject to different drivers and dynamics. We see steady inflow for both for the following reasons:

Offshore Chinese markets: ongoing inflow trend supported by stronger currency and low existing positioning; rate cut delay could curb the size

A modest RMB appreciation should provide a marginal tailwind for offshore Chinese equities: As mentioned in the framework discussion, Morgan Stanley has revised its USD/CNY forecast to ~6.80 by 2Q 2027, with the RMB expected to strengthen to as much as ~6.75 by end-2026 While the magnitude of appreciation is modest, it could provide a marginal tailwind for China's offshore equity markets, helping to improve foreign investor appetite and support incremental inflows.

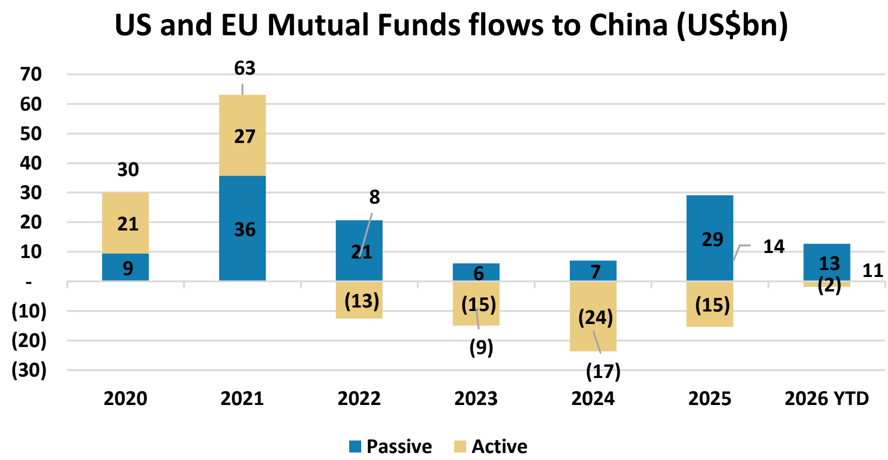
That said, a potential delay in Fed rate cuts poses a risk to the weaker-dollar thesis: A more hawkish-for-longer Fed could slow USD depreciation, limit RMB upside, and weigh on the pace of foreign capital returning to emerging markets including China.

Foreign mutual fund inflows strengthened further in 2026 after turning positive in 2025, though still largely driven by passive funds: US- and EU-domiciled China-focused mutual funds recorded US$14bn of net inflows in 2025, reversing US$26bn of cumulative outflows in 2023-24. Momentum has accelerated in 2026, with US$11bn of inflows in 4M26, already reaching ~80% of the full-year 2025 level (Exhibit 29). While inflows remain predominantly passive-led, active funds briefly turned to net inflows in January-February 2026, before reverting to outflows from March. We believe the renewed and strengthening foreign inflows reflect rising investor interest and confidence in China's innovation capabilities, particularly in AI, technology, high-end manufacturing, and biotech. With sentiment and policy support continuing to improve, we see further upside potential for foreign inflows. (Exhibit 30 Exhibit 31).

Global, emerging markets, and AxJ funds remain underweight China amid stronger performance in other emerging markets: Our fund positioning data show that global funds are 1.3ppt underweight China, while EM and AxJ funds are 5.7ppt and 1.8ppt underweight, respectively. The deepened underweight reflects investors' preference for other emerging markets, such as Korea and Taiwan, supported by stronger equity performance and fewer macro headwinds.

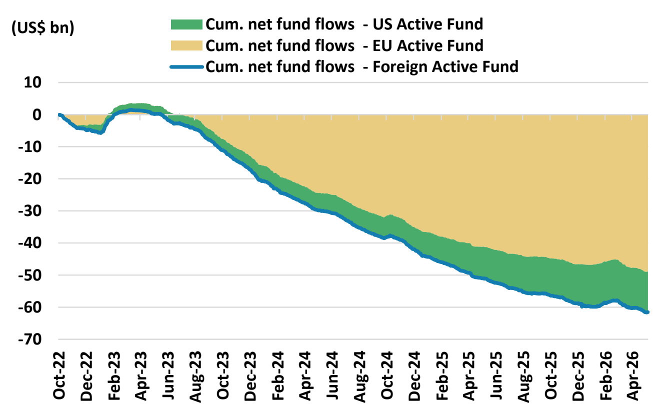
Looking ahead, we believe China's continued progress in innovation, and any upside scenario of an earlier exit from deflation, could help improve investor confidence and support a gradual increase in active allocations to China among foreign investors (Exhibit 32).

Exhibit 29: Fund flows in China/HK equities by US and EU domiciled active funds (2020-2026 YTD) - Foreign mutual fund flows strengthened further in 2026, YTD inflows reaching 80% of full year 2025 level



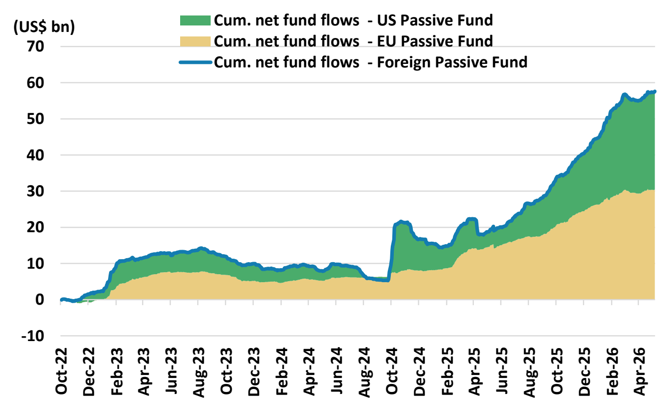
Source: EPFR, Morgan Stanley Research; data as of April 30, 2026.

Exhibit 30: Daily cumulative fund flows in China/HK equities by both US- and EU-domiciled active funds – net outflow yet to stop



Source: EPFR, Morgan Stanley Research; data as of May 7, 2026.

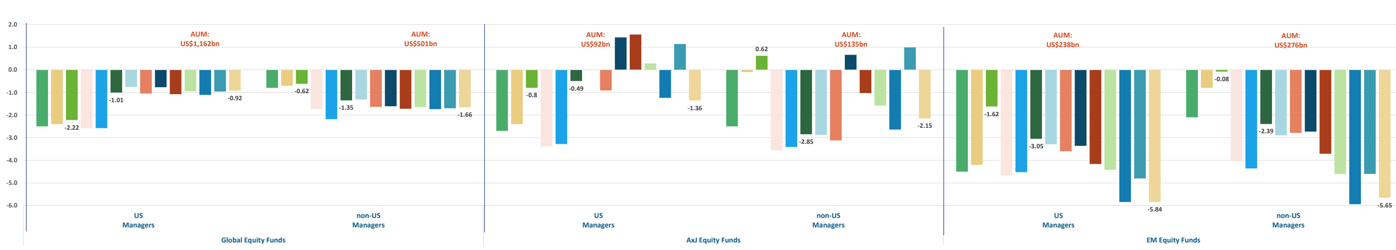
Exhibit 31: Daily cumulative fund flows in China/HK equities by both US- and EU-domiciled passive funds – inflow further accelerated in 2026



Source: EPFR, Morgan Stanley Research; data as of May 7, 2026.

Exhibit 32:

Active weights of China/HK equities by regional fund category and manager domicile – long-only funds still heavily underweight on China



Source: Morningstar, FactSet, EPFR, Morgan Stanley Research; Note: Data as of April 30, 2026, most funds have disclosed data up to March 31. Fund universe of each category is formed by the largest 30 active mutual funds under Morningstar regional category. Funds under "non-US Managers" are mostly domiciled in Europe. We exclude ESG funds, Income funds, and Systematic funds. All the covered funds are benchmarking to either MSCI or FTSE standard regional indices of All Country World, Asia ex Japan, or Emerging Markets. The EPFR data and charts displayed here must not be extracted and republished (whether internally or externally). Such use will violate the terms of Morgan Stanley's contract with EPFR which only covers named users.

Southbound inflows still positive, but cooling from 2025's record pace

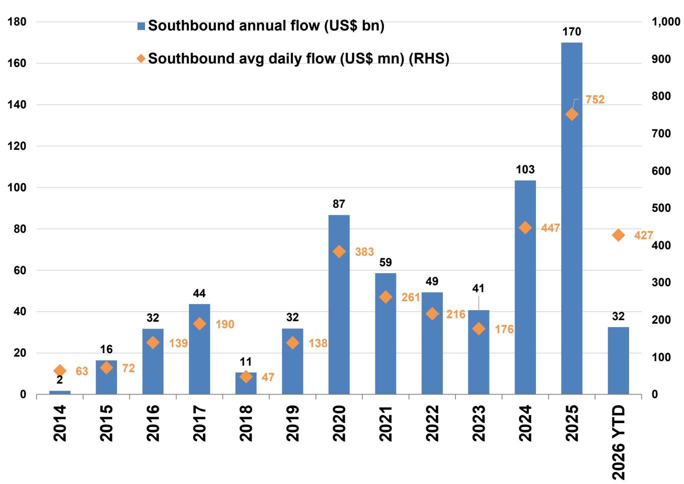
Southbound inflows remain positive in 2026, but momentum has cooled notably from 2025's record highs: YTD net inflows reached ~US$32bn, with average daily flow running at roughly 57% of 2025 levels (Exhibit 33 , Exhibit 34). The slowdown reflects several factors:

1. Lackluster YTD performance of large-cap platform companies – historically the largest destination for Southbound capital;
2. Better-performing sectors and stocks being more concentrated in the A-share market; and
3. Hong Kong's greater sensitivity to global geopolitical uncertainty and fund flow volatility.

A more favourable A-share sector mix is likely to continue diluting Southbound flow into Hong Kong. A meaningful re-acceleration would likely require:

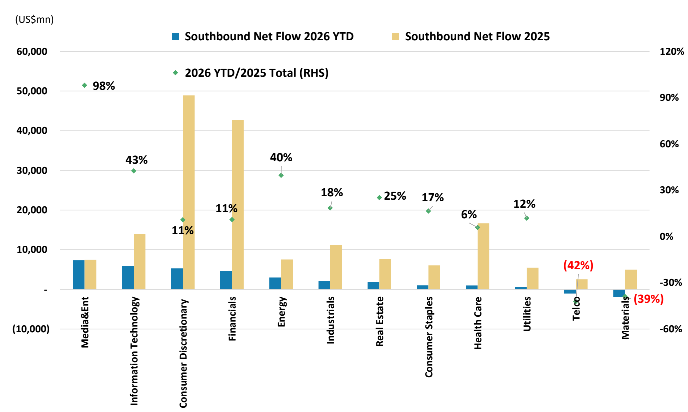
1. Moderation of the e-commerce price war, potentially driven by government tightening on competitive practices; and
2. Platform companies demonstrating stronger AI model development and innovation capability – particularly as competitive pressure from ByteDance and others persists.

Exhibit 33: Annual Southbound net inflows – 2026 YTD inflow reached US$32bn, average daily flow around 57% of 2025's level



Source: CEIC, Morgan Stanley Research. Data as of May 8, 2026.

Exhibit 34: Southbound net inflows by sector – Media&Entertainment, IT, Consumer Discretionary are the top three sectors



Source: Wind, CEIC, Morgan Stanley Research. Data as of April 29, 2026.

Onshore A-share market: deposit migration, recovering retail participation, and growing private fund AUM all point to sustained liquidity tailwinds

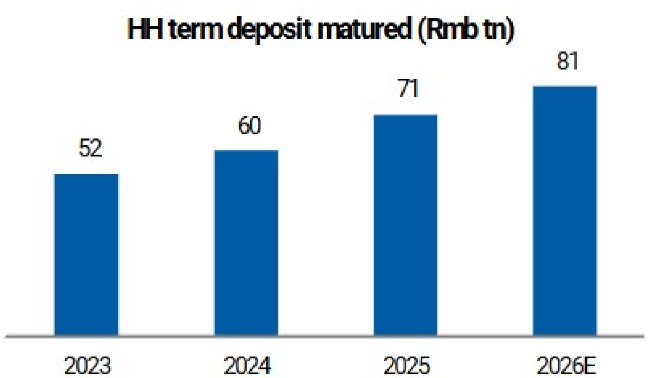
Deposit maturity cycle supports gradual fund migration into equities: Our banking team estimates that ~Rmb81tn in retail term deposits will mature in 2026, up from Rmb71tn in 2025 – though the share of higher-yield deposits (those locked in before

2H23) shrinks to ~Rmb16tn from Rmb28tn (Exhibit 35 , Exhibit 36). Deposit growth is expected to slow modestly to 7-8% in 2026 (from 9.7% in 2025), as insurance products offer competitive long-term returns and appetite for equity products recovers. Every 1ppt slowdown in deposit growth equates to ~Rmb1.6-1.7tn of potential flows into other investment products – sufficient to drive mid-teens growth in insurance, mutual funds, or private funds, while still supporting reasonable bank balance sheet expansion.

Declining term deposit rates, the A-share market's decent performance, and lower equity volatility – smoothed by National Team activity – should continue to encourage deposit migration into equities. This is already evident in private fund AUM growth since 2025, which has carried through steadily into 2026 (Exhibit 37).

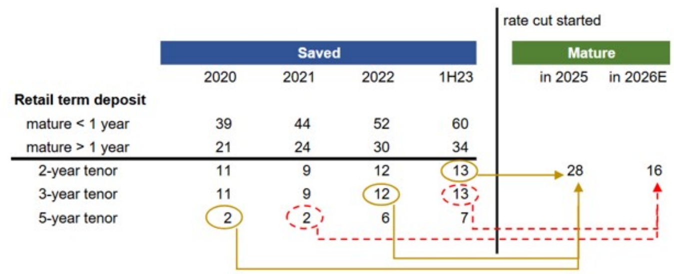
That said, retail participation has picked up but remains moderate relative to prior cycles: New brokerage account openings and small-ticket trading orders both remain well below the October 2024 surge or previous cycle peaks (Exhibit 38 , Exhibit 39). Further acceleration in retail momentum would likely require clearer signs of macro stabilization.

Exhibit 35: Household term deposit maturity - ~Rmb81trn of retail term deposits could mature in 2026



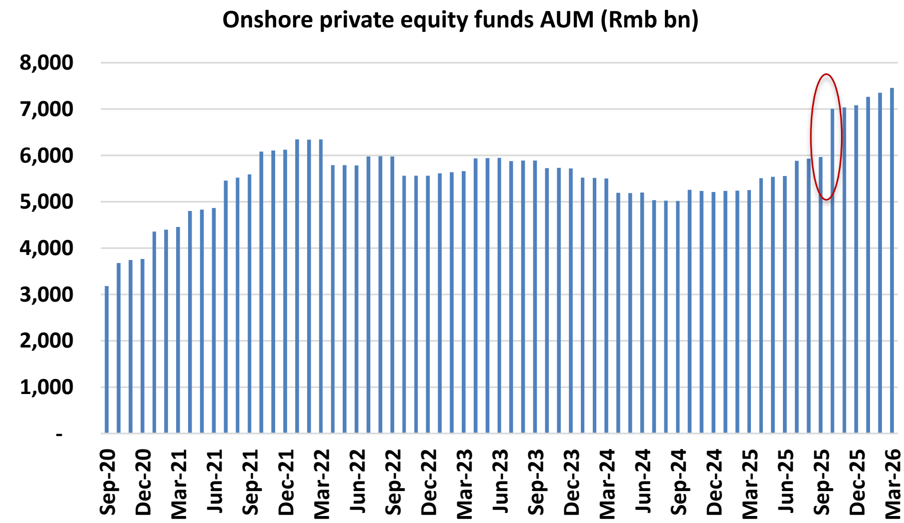
Source: Company data, PBOC, Morgan Stanley Research (E) estimates.

Exhibit 36: Rmb81tn of retail term deposits could mature in 2026, Rmb16tn of which could bear higher rates



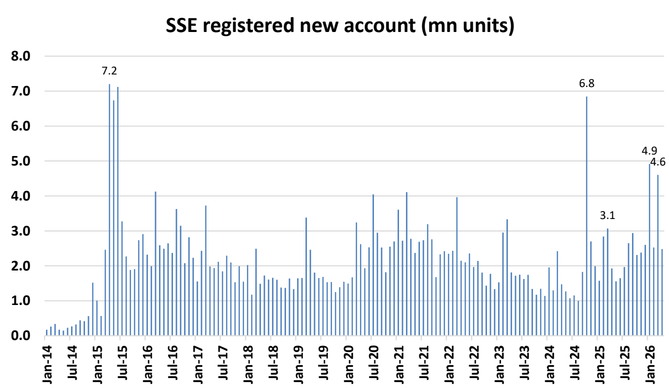
Source: Company data, PBOC, Morgan Stanley Research estimates.

Exhibit 37: Onshore private equity funds AUM - Steady growth since 2025



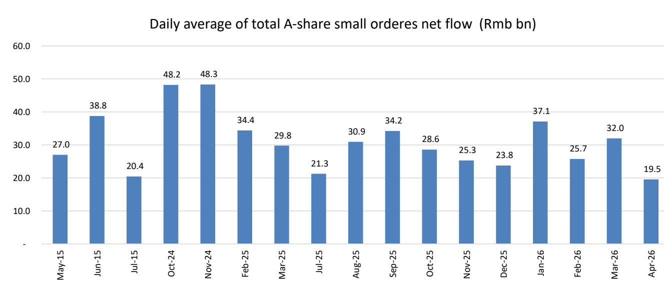
Source: Wind, Morgan Stanley Research. Data as of April 2026.

Exhibit 38: SSE registered new accounts – current cycle momentum has picked up but is not yet comparable with previous peaks



Source: CEIC, Morgan Stanley Research. Data as of Apr 2026.

Exhibit 39: Daily average of A-share small orders net inflow – volume more measured compared to the October 2024 rally period



Source: Wind, Morgan Stanley Research. Data as of Apr 2026.

Sector allocation: focus more on thematic stock-picking; less on indices

We strongly prefer upstream asset-focused sectors that are less prone to disruption by the AI supercycle – compounded by rising likelihood of taking more global market share against the backdrop of energy sufficiency and efficiency being reprioritized.

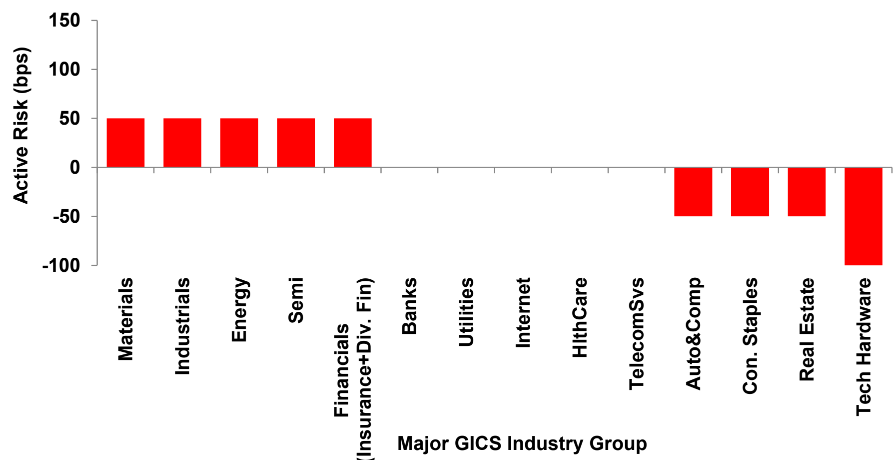
- Those sectors include selected Materials, Industrials, and Energy.

We also like the tech localization theme: This would continue to benefit semis, particularly within IT.

Meanwhile, we maintain moderate exposure to Financials (Insurance and Exchanges), as well as yield plays – to continue to receive stable cash payments that help smooth any potential market volatility.

We stay underweight on sectors dragged down by gloomy macro conditions – i.e. Real Estate and Consumer Staples.

Exhibit 40: China – sector/industry group allocation: we continue to favor a barbell approach between structural tech/growth opportunities and quality dividend plays



Source: Morgan Stanley Research

Key trades for the next 12 months

- Overweight A-shares vs. offshore;

- Morgan Stanley China/Hong Kong Focus List and A-share Thematic Focus List: For details, please view Morgan Stanley China/HK Focus List & A-Share Thematic List);

- China Best Business Model:

We launched China Best Business Model V2 in March 2026: It is a concentrated portfolio of 26 high-quality companies spanning 16 industry groups, with a clear tilt toward structural/thematic growth sectors such as Information Technology (19% weight), Industrials (19%), and Materials (12%). See China Equity Strategy: Launching China Best Business Models Version 2 (30 Mar 2026).

The stocks also align with global investment themes as well as China's strategic growth plan. The purpose of this list is to provide a long-term, fundamental driven, all-weather portfolio that could transcend short-term market cycles and provide long-term alpha. These stocks offer ROE 1.5x higher than the benchmark with a back-tested three-year Sharpe Ratio of 1.2. Stock list can be found in Exhibit 43 .

The performance data provided is a hypothetical illustration of mathematical principles, it does not predict or project the performance of an investment or investment strategy. Past performance is no guarantee of future results.

Exhibit 41: China Best Business Models Version 2 – Key Statistics

Source: IBES, FactSet, Morgan Stanley Research. Data as of May 8, 2026.
***: Median of the 26 companies included in China BBM V2.
**: Average of the 24 non-financial companies included in China BBM V2.
*: Computed based on an equally weighted portfolio of China BBM V2 stocks.

Exhibit 42: China Best Business Models Version 2 – superior Sharpe ratio based on back-testing

	Annualized total return in US$		Standard deviation		Sharpe ratio	
	China BBM v2	MSCI China	China BBM v2	MSCI China	China BBM v2	MSCI China
5 Yr (2021 - 2025)	15.3%	(3.0%)	22.5%	27.1%	0.53	(0.24)
3 Yr (2023 - 2025)	27.8%	11.8%	20.4%	24.0%	1.16	0.32
1 Yr (May 2025 - May 2026)	91.0%	14.5%	20.0%	19.0%	4.34	0.54

Source: MSCI, FactSet, Morgan Stanley Research. Data as of May 8, 2026; Past performance is no guarantee of future results. US 10-year Treasury yield is used as a proxy for risk free rate.

- China's Global Export Champions:

The escalation of Middle East geopolitical tensions has reinforced China's strategic positioning in global manufacturing, underpinned by its energy security and supply-chain resilience. We identify 25 stocks under Morgan Stanley Research coverage that stand to benefit from China's rising export share in upstream and high-end manufacturing supply chain, and the ongoing global capex up-cycle Exhibit 44).

- Event-driven tactical trade of Stock Connect Southbound inclusion/deletion.

Following the launch of MSSBT V1 (Morgan Stanley Southbound Eligibility Trading Strategy), which achieved a 95% hit ratio, we introduced MSSBT V2 in February 2026 to further enhance the model's alpha-generation capability by capturing both sides of

Southbound eligibility review and implementation events – deletions as well as inclusions. We recommend a short-term tactical trading strategy strictly based on our model, constructing an equal-weighted portfolio of forecast Stock Connect inclusion and deletion stocks. We publish our bi-annual forecast lists twice a year, in August and in February.

For details please see:

- China Equity Strategy: Enhancing MSSBT – Capturing Full Alpha From Southbound Eligibility (3 Feb 2026);
- China Equity Strategy: Southbound Inclusion – A Back-Tested Trading Strategy (19 Aug 2025)

Exhibit 43: China Best Business Models V2

Company Name	Ticker	MS Rating	GICS Industry Group	Mkt Cap (US$bn)	Last Price (Local CCY)	Target Price	Upside to Target Price	CCY	MS P/E (CY)		MS P/B (CY)		MS DY (CY)		ROE (CY)		MS Analyst
									2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	
Tencent Holdings Ltd.	0700.HK	OW	Media & Entertainment	558.8	471.4	650	37.9%	HKD	18.7x	16.3x	3.1x	2.7x	1.0%	1.1%	20.3%	19.6%	Yu, Gary
Alibaba Group Holding	BABA.N	OW	Consumer Discretionary Distribution & Retail	332.7	140.1	180	28.5%	USD	3.1x	2.2x	0.3x	0.2x	-	-	9.5%	10.0%	Yu, Gary
Fuyao Glass Industry Group	3606.HK	EW	Automobiles & Components	22.7	64.5	54	-17.1%	HKD	17.1x	14.2x	4.0x	3.6x	3.5%	4.1%	26.3%	28.4%	Wang, Shelley
Yum China Holdings Inc.	YUMC.N	OW	Consumer Services	16.6	46.9	60	27.9%	USD	16.0x	14.4x	3.0x	2.8x	2.7%	3.1%	18.9%	21.5%	Lou, Lillian
H World Group Ltd	HTHT.O	OW	Consumer Services	14.7	47.1	65	38.1%	USD	2.7x	2.3x	1.0x	0.9x	32.2%	35.2%	44.3%	45.5%	Chee, Dan
PetroChina	0857.HK	OW	Energy	293.3	10.6	13	25.1%	HKD	10.1x	10.0x	1.2x	1.1x	5.1%	5.2%	12.1%	11.6%	Lu, Jack
Ping An Insurance Group Co of China Ltd	2318.HK	OW	Insurance	156.6	65.6	92	40.2%	HKD	7.9x	7.1x	0.8x	0.7x	4.4%	4.7%	14.9%	15.4%	Xu, Richard
Bank of Ningbo Co. Ltd	002142.SZ	OW	Banks	31.1	32.1	45	40.4%	CNY	6.7x	5.8x	0.9x	0.8x	3.6%	4.1%	14.3%	14.8%	Xu, Richard
Futu Holdings Ltd	FUTU.O	OW	Financial Services	20.4	144.6	225	55.6%	USD	1.6x	1.3x	3.1x	2.3x	0.0%	0.0%	32.5%	29.6%	Huang, Chiyao
Jiangsu Hengrui	600276.SS	OW	Pharmaceuticals Biotechnology & Life Sciences	51.6	52.8	81	53.4%	CNY	38.7x	33.5x	10.2x	8.9x	0.3%	0.3%	14.8%	15.1%	Yan, Alexis
Insilico Medicine	3696.HK	OW	Pharmaceuticals Biotechnology & Life Sciences	0.6	64.3	74	15.1%	HKD	NA	NA	NA	NA	0.0%	0.0%	4.2%	22.9%	Lin, Jack
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	Capital Goods	308.0	437.0	595	36.2%	CNY	21.3x	15.7x	4.8x	4.1x	2.3%	3.2%	28.1%	32.5%	Lu, Jack
Techtronic Industries Co Ltd	0669.HK	OW	Capital Goods	28.8	123.2	135	9.6%	HKD	20.1x	18.1x	4.0x	3.7x	2.1%	2.6%	21.8%	22.2%	Cheng, Terence
Shenzhen Inovance Technology	300124.SZ	OW	Capital Goods	29.7	75.0	95	26.7%	CNY	33.3x	26.4x	5.1x	4.5x	0.8%	1.0%	17.2%	19.4%	Zhong, Sheng
Sieyuan Electric Co.Ltd.	002028.SZ	OW	Capital Goods	22.8	198.1	287	44.6%	CNY	34.7x	24.2x	8.0x	6.2x	0.4%	0.5%	28.8%	33.0%	Hou, Eva
ZTO Express	ZTO.N	OW	Transportation	19.8	25.1	29	13.8%	USD	1.9x	1.6x	0.3x	0.2x	0.0%	22.2%	16.4%	16.9%	Fan, Qianlei
Foxconn Industrial Internet Co. Ltd.	601138.SS	OW	Technology Hardware & Equipment	174.8	63.3	83	30.8%	CNY	20.6x	15.6x	7.3x	7.1x	4.5%	5.9%	36.6%	46.7%	Shih, Sharon
Luxshare Precision Industry Co., Ltd.	002475.SZ	OW	Technology Hardware & Equipment	73.4	71.3	77	8.0%	CNY	25.0x	17.6x	4.2x	3.4x	0.0%	0.0%	20.3%	24.1%	Shih, Sharon
NAURA Technology Group Co Ltd	002371.SZ	OW	Semiconductors & Semiconductor Equipment	57.6	540.8	600	10.9%	CNY	43.1x	32.2x	7.6x	6.4x	0.4%	0.7%	20.8%	23.7%	Chan, Charlie
Montage Technology Co Ltd	688008.SS	OW	Semiconductors & Semiconductor Equipment	35.1	210.3	274	30.3%	CNY	68.7x	36.4x	7.1x	5.7x	0.0%	0.0%	27.6%	29.5%	Yen, Daniel
ASMPT Ltd	0522.HK	OW	Semiconductors & Semiconductor Equipment	8.6	168.9	188	11.3%	HKD	46.0x	27.5x	3.9x	3.6x	1.1%	1.8%	9.0%	14.4%	Dai, Daisy
Zijin Mining Group	2899.HK	OW	Materials	134.8	38.5	55	42.9%	HKD	12.8x	12.6x	4.1x	3.3x	2.0%	2.8%	43.2%	32.3%	Zhang, Rachel
Huaxin Building Materials	6655.HK	OW	Materials	5.7	16.0	25	55.8%	HKD	8.9x	8.4x	0.8x	0.7x	4.5%	4.8%	11.7%	11.5%	Zhang, Rachel
Sunresin New Materials Co Ltd	300487.SZ	EW	Materials	4.8	64.6	55	-14.8%	CNY	31.5x	24.9x	6.2x	5.4x	1.4%	1.8%	23.7%	25.0%	Xu, Kaylee
China Resources Land Ltd.	1109.HK	OW	Real Estate Management & Development	33.5	36.8	43	15.9%	HKD	11.2x	10.5x	0.8x	0.8x	3.3%	3.5%	8.1%	7.8%	Cheung, Stephen
China Yangtze Power Co.	600900.SS	OW	Utilities	97.1	27.0	35	28.9%	CNY	16.7x	16.3x	2.8x	2.6x	4.2%	4.3%	17.6%	17.0%	Hou, Eva

Source: ModelWare, Morgan Stanley Research (E) estimates. Data as of May 8, 2026.

Exhibit 44: China's global export champions (sorted by GICS industry group and then by market cap)l

Ticker	Company name	Analyst Rating	GICS industry group	Last Price (US$)	Avg daily t/o	Mkt cap.	Upside to target price	EPS Growth (MS estimate)		ROE		PE		DY		Analyst	2025 Overseas revenue %
					US$ mn	US$ bn		2026e	2027e	2026e	2027e	2026e	2027e	2026e	2027e		
300750.SZ	Contemporary Amperex Technology Co. Ltd.	OW	Capital Goods	64.26	1,507	308	36.2%	27%	35%	25.8%	29.4%	21.3	15.7	2.3%	3.2%	Lu, Jack	32%
2338.HK	WeiChai Power	OW	Capital Goods	5.29	42	43	13.5%	22%	29%	13.8%	16.4%	23.5	18.2	2.5%	3.3%	Zhong, Sheng	53%
0669.HK	Techtronic Industries Co Ltd	OW	Capital Goods	15.74	64	29	9.6%	20%	11%	20.8%	21.3%	20.1	18.0	2.1%	2.6%	Cheng, Terence	97%
600031.SS	Sany Heavy Industry Co., Ltd.	OW	Capital Goods	3.02	209	28	36.4%	12%	39%	11.1%	14.5%	18.7	13.5	2.7%	3.8%	Zhong, Sheng	64%
002028.SZ	Sieyuan Electric Co.Ltd.	OW	Capital Goods	29.13	174	23	44.6%	42%	43%	25.6%	28.8%	34.7	24.2	0.4%	0.5%	Hou, Eva	29%
600522.SS	Jiangsu Zhongtian Technology Co. Ltd.	OW	Capital Goods	6.01	327	21	18.7%	151%	30%	18.2%	20.2%	19.1	14.8	1.6%	2.2%	Hou, Eva	19%
603799.SS	Zhejiang Huayou Cobalt Co Ltd	OW	Capital Goods	9.71	546	16	15.2%	37%	14%	17.8%	17.5%	13.8	12.1	1.1%	1.4%	Jiang, Chris	64%
300450.SZ	Wuxi Lead Intelligent	OW	Capital Goods	8.05	481	13	58.9%	53%	79%	15.5%	21.7%	35.8	20.0	0.5%	0.8%	Zhong, Sheng	24%
1157.HK	Zoomlion Heavy Industry	OW	Capital Goods	1.01	10	10	23.6%	6%	40%	8.7%	11.7%	11.8	8.4	6.1%	8.6%	Zhong, Sheng	60%
603308.SS	Anhui Yingliu Electromechanical Co Ltd	OW	Capital Goods	11.58	108	8	28.5%	67%	93%	10.9%	18.6%	92.5	48.0	0.2%	0.3%	Li, Tom	53%
002487.SZ	Dajin Heavy Industry	OW	Capital Goods	12.20	135	8	36.6%	77%	46%	21.2%	25.0%	27.1	18.6	0.3%	0.5%	Hou, Eva	75%
600885.SS	Hongfa Technology Co Ltd	OW	Capital Goods	4.77	81	7	7.9%	6%	39%	14.4%	16.9%	25.6	18.4	1.1%	1.2%	Zhong, Sheng	31%
603606.SS	Ningbo Orient Wires & Cables Co Ltd	OW	Capital Goods	9.07	84	6	18.9%	27%	26%	18.2%	19.8%	26.2	20.8	0.9%	1.2%	Hou, Eva	14%
603338.SS	Zhejiang Dingli Machinery Co Ltd.	OW	Capital Goods	8.37	51	4	17.8%	10%	27%	17.2%	19.2%	13.8	10.9	2.2%	2.8%	Zhong, Sheng	82%
601567.SS	Ningbo Sanxing Medical Electric Co. Ltd.	OW	Capital Goods	2.90	79	4	83.7%	27%	31%	16.3%	19.2%	13.0	10.0	3.3%	4.2%	Li, Tom	20%
002270.SZ	Huaming Power Equipment	OW	Capital Goods	3.62	47	3	47.3%	23%	23%	26.3%	29.3%	25.4	20.6	2.5%	3.1%	Li, Tom	20%
2590.HK	Beijing Geekplus Technology Co., Ltd.	OW	Capital Goods	2.42	13	3	53.1%	506%	408%	1.8%	8.8%	349.1	68.8	NA	NA	Zhong, Sheng	71%
688006.SS	Zhejiang Hangke Technology	OW	Capital Goods	4.83	43	3	52.1%	52%	45%	12.9%	16.3%	25.9	17.9	0.4%	0.6%	Zhong, Sheng	56%
600309.SS	Wanhua Chemical	OW	Materials	12.29	356	39	20.8%	44%	16%	15.7%	16.3%	14.6	12.6	2.1%	2.5%	Xu, Kaylee	47%
600219.SS	Shandong Nanshan Aluminium Co.	OW	Materials	0.82	175	10	31.3%	20%	11%	11.4%	12.6%	11.7	10.5	8.1%	9.0%	Zhang, Rachel	54%
6655.HK	Huaxin Building Materials	OW	Materials	2.04	17	6	55.8%	30%	6%	11.3%	11.2%	7.7	7.3	5.2%	5.5%	Zhang, Rachel	35%
688008.SS	Montage Technology Co Ltd	OW	Semiconductors & Semiconductor Equipment	30.92	657	35	30.3%	61%	89%	20.0%	25.7%	67.3	35.6	0.0%	0.0%	Yen, Daniel	72%
300373.SZ	Yangjie Technology	OW	Semiconductors & Semiconductor Equipment	11.27	141	6	18.7%	23%	36%	14.7%	17.5%	26.9	19.7	0.7%	0.7%	Dai, Daisy	25%
601138.SS	Foxconn Industrial Internet Co. Ltd.	OW	Technology Hardware & Equipment	9.31	1,272	175	30.8%	73%	31%	36.1%	45.9%	20.6	15.6	4.5%	5.9%	Shih, Sharon	44%
601231.SS	Universal Scientific Ind. (Shanghai)	OW	Technology Hardware & Equipment	6.10	129	14	9.4%	42%	48%	12.5%	16.7%	35.0	23.6	1.0%	1.5%	Dai, Daisy	46%

Source: Morgan Stanley Research. Data as of May 8, 2026.

Morgan Stanley China/HK Focus List & A-Share Thematic List

Focus List valuations and comparisons

Exhibit 45: Morgan Stanley China/HK Focus List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US$bn)	Date Added	Total US$ Returns Since Added	12M Total Return Perf.	Last Price (US $)	Upside to Target Price	MS P/E 2026E	MS P/E 2027E	MS P/B 2026E	MS ROE 2026E	MS Div. Yld 2026E	MS P/Sales 2026E	Analyst
Alibaba Group Holding	BABA.N	OW	China	Consumer Discretionary	332.7	24-Feb-25	3.4%	15.5%	140.1	28.5%	27.6x	29.0x	1.9x	7.1%	-	2.4x	Yu, Gary
Aluminum Corp. of China Ltd.	601600.SS	OW	China	Materials	28.9	2-Feb-26	-4.4%	101.1% ✓	1.7	47.1%	8.2x	9.5x	2.2x	27.3%	4.5%	0.8x	Zhang, Rachel
China Petroleum & Chemical Corp.	0386.HK	OW	China	Energy	88.4	2-Mar-26	-17.6%	22.4%	0.6	51.4%	8.3x	6.0x	0.6x	6.8%	8.8%	0.2x	Lu, Jack
China Shenhua Energy	1088.HK	OW	China	Energy	129.0	25-Mar-26	-4.7%	64.4%	5.8	18.9%	13.2x	12.4x	1.7x	13.1%	5.8%	2.7x	Yang, Hannah
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	308.0	10-Mar-24	213.1%	93.8% ✓	64.3	36.2%	21.3x	15.7x	5.2x	25.8%	2.3%	3.6x	Lu, Jack
Duality Biotherapeutics Inc	9606.HK	OW	China	Health Care	2.8	21-Aug-25	-22.8%	26.5%	32.7	92.6%	73.7x	-54.1x	-9.7x	-13.2%	0.0%	14.9x	Lin, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	32.8	2-Mar-26	15.4%	179.5% ✓	49.1	4.2%	41.3x	25.7x	10.0x	24.2%	0.7%	13.1x	Yen, Daniel
HK Exchanges & Clearing	0388.HK	OW	Hong Kong	Financials	68.9	24-Feb-25	27.3%	18.1% ✓	54.2	21.4%	29.5x	27.6x	8.8x	29.9%	3.0%	17.8x	Xu, Richard
HKT Trust and HKT Ltd.	6823.HK	OW	Hong Kong	Communication Services	0.0	24-Mar-21	65.3%	18.4% ✓	1.6	11.0%	17.2x	16.5x	2.6x	15.4%	6.7%	0.0x	Tang, Tom
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	20.5	25-Mar-26	49.9%	213.7% ✓	6.0	18.7%	19.1x	14.8x	3.2x	16.8%	1.6%	2.2x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	30.8	13-Jun-19	193.3%	24.2% ✓	3.8	23.7%	22.2x	19.6x	3.6x	16.4%	2.4%	2.9x	Hou, Eva
Ping An Insurance Group Co of China Ltd	2318.HK	OW	China	Financials	29.3	2-Dec-25	13.6%	46.4% ✓	8.4	40.2%	6.9x	6.2x	1.0x	14.3%	5.0%	1.0x	Xu, Richard
Shenzhen Inovance Technology	300124.SZ	OW	China	Industrials	29.7	26-Sep-25	-3.5%	13.7% ✓	11.0	26.7%	33.3x	26.4x	5.1x	15.3%	0.8%	3.6x	Zhong, Sheng
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	15.4	12-Jan-26	73.9%	364.9% ✓	9.2	-10.2%	46.3x	34.2x	4.9x	10.5%	0.6%	2.9x	Hou, Eva
Zijin Mining Group	2899.HK	OW	China	Materials	134.8	14-Nov-22	308.5%	122.6% ✓	4.9	42.9%	11.1x	10.9x	3.5x	31.7%	2.3%	1.8x	Zhang, Rachel

ModelWare, RIMES, Factset, Morgan Stanley Research. Note: OW = Overweight, EW = Equal-weight. Data as of May 8, 2026. The US$ total return of the Morgan Stanley China/HK Equity Strategy Focus List since inception on September 3, 2014 is 107.9% (MSCI China Index total return +57.3%). This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. Tick-mark indicates stock has outperformed MSCI China Index since inclusion in the Focus List.

Exhibit 46: Morgan Stanley China A-share Thematic Focus List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US$bn)	Date Added	Total US$ Returns Since Added	12M Total Return Perf.	Last Price (US $)	Upside to Target Price	MS P/E 2026E	MS P/E 2027E	MS P/B 2026E	MS ROE 2026E	MS Div. Yld 2026E	MS P/Sales 2026E	Analyst
Aluminum Corp. of China Ltd.	601600.SS	OW	China	Materials	28.9	2-Feb-26	-4.4%	101.1% ✓	1.7	47.1%	8.2x	9.5x	2.2x	27.3%	4.5%	0.8x	Zhang, Rachel
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	308.0	10-Mar-24	213.1%	93.8% ✓	64.3	36.2%	21.3x	15.7x	5.2x	25.8%	2.3%	3.6x	Lu, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	32.8	2-Mar-26	15.4%	179.5% ✓	49.1	4.2%	41.3x	25.7x	10.0x	24.2%	0.7%	13.1x	Yen, Daniel
Hongfa Technology Co Ltd	600885.SS	OW	China	Industrials	7.0	16-Apr-24	86.1%	47.7% ✓	4.8	7.9%	25.6x	18.4x	3.4x	13.3%	1.1%	2.4x	Zhong, Sheng
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	20.5	25-Mar-26	49.9%	213.7% ✓	6.0	18.7%	19.1x	14.8x	3.2x	16.8%	1.6%	2.2x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	30.8	13-Jun-19	193.3%	24.2% ✓	3.8	23.7%	22.2x	19.6x	3.6x	16.4%	2.4%	2.9x	Hou, Eva
Ping An Insurance Group Co of China Ltd	601318.SS	OW	China	Financials	156.6	12-Jan-26	-8.8%	28.6%	8.8	39.9%	7.2x	6.5x	1.0x	14.3%	4.8%	1.0x	Xu, Richard
Shenzhen Inovance Technology	300124.SZ	OW	China	Industrials	29.7	17-Nov-25	9.6%	13.7% ✓	11.0	26.7%	33.3x	26.4x	5.1x	15.3%	0.8%	3.6x	Zhong, Sheng
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	15.4	17-Nov-25	99.3%	364.9% ✓	9.2	-10.2%	46.3x	34.2x	4.9x	10.5%	0.6%	2.9x	Hou, Eva
Zijin Mining Group	601899.SS	OW	China	Materials	134.8	28-Nov-22	308.7%	113.1% ✓	5.1	49.4%	11.5x	11.3x	3.7x	31.7%	2.2%	1.8x	Zhang, Rachel

Source: MSCI, RIMES, Morgan Stanley Research. Data as of May 8, 2026. The CNY total return of the selected stocks in the A-share thematic list since inception on February 18, 2016, is 190.1% (Shanghai Stock Exchange Composite Index total return is 114.5%). This assumes the group of selected stocks constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute returns (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. Tick-mark indicates stock has outperformed Shanghai Composite Index since inclusion in the Focus List.

Focus list performance

Exhibit 47: Performance of Focus Lists

Total Return	Since Inception		12 Months		1 Month	
	Absolute	Relative	Absolute	Relative	Absolute	Relative
China Focus List (US$)	107.9%	57.3%	24.8%	13.7%	6.8%	3.5%
China A-Share Thematic Focus List (US$)	190.1%	114.5%	41.4%	7.0%	12.7%	6.5%

Source: Morgan Stanley Research. China/HK Focus List performance is relative to MSCI China Index and China A-share Thematic Focus List performance is relative to Shanghai Composite Index. Past performance is no guarantee of future results. Data is total return based and excludes brokerage commissions. Data as of May 8, 2026.

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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